HOW TO GO TO MARKET

# PRODUCT LAUNCH

DEKKER FRASER | SPENCER GROVER

# PRODUCT LAUNCH

How To Go To Market

Dekker Fraser
&
Spencer Grover

# Table of Contents

Introduction

Part 1:  Target Audience

Part 2:  Value Propositions

Part 3:  Messaging

Part 4:  Go to market team

Part 5:  Demand Generation

Part 6:  The Marketing Mix

Part 7:  How much? Pricing your product

Bonus Section!  Common Problems (and their solutions)

Conclusion

# INTRODUCTION

In 1943, a naval engineer named Richard T. James was stationed at Cramp Shipbuilding in Philadelphia and was tasked with designing the springs that would suspend delicate equipment on ships at sea, keeping them level in rough weather.

As the story goes, he was experimenting with tension springs and dropped one. Hypnotized as the spring fell to the ground, Richard had an idea—and the Slinky was born.

Of course, that’s not the whole story. That’s the story of how a helical spring became a toy, not how the Slinky, as a product, went on to sell over 300 million units before the year 2000.

It is, in short, a story of invention. But for every product with an origin story, there’s an equally compelling tale that doesn’t get told the story of how that product makes it to market.

In this book, we’re not going to teach you how to invent the next iPhone (or Slinky).

Our mission is basic: we’re going to teach you exactly how to take a new product to market.

Over the course of our careers, we’ve have launched countless new products and features for companies large and small, including Sony PlayStation, Google-backed Rocket Lawyer, and multiple early and mid-stage venture-backed startups. We’ve also worked for agencies that have consulted for hundreds of small businesses on go to market strategies.

This book teaches you how to apply the latest go to market tactics emerging from Silicon Valley, as well as the foundational strategic thinking from the Kellogg School of Management.

We've broken the book into seven sections outlined below, each one covering a key pillar of any go to market strategy. Within each section, we break each component into its foundational elements, cover tactical execution, and pull in examples from our experience taking products to market.

**1) Target audience**

- Who are you trying to target?
- How do you identify and segment your target audience?
- How do you know if you're at product / market fit?

**2) Value propositions**

- Understanding core components of a value propositions: competitive advantage, positioning, unique selling proposition, and value
- Calculating product value with math
- Defining value propositions without math

**3) Messaging**

- 6-step progress for building your messaging framework
- Copywriting: how to do it + 4 tips to do it well

**4) Go to market team**

- Who's involved in bringing a product to market
- Choosing a team that suits your strategy
- Defining success metrics for your team

**5) Demand generation**

- 2 models for demand generation
- An example of a demand gen campaign
- 7 common demand gen tactics

**6) The marketing mix**

- Calculating the marketing mix
- Building your marketing mix

**7) Price**

- The basics of value-based pricing
- 4 common pricing tactics

By the end of this book, you'll understand exactly what you need to do to catapult yourself into the market, and make your product the next slinky.

# PART 1:
# TARGET AUDIENCE
## *Who you target*

This part of the book is all about the WHO of your go to market strategy—how to select your audience, what to look for in a good target audience, and how to link your audience to your overarching go to market goals.

This chapter will cover:

- How to set the business goal that your target audience is going to help you achieve
- The role that supply and demand plays in target audience definition
- Common B2B / B2C segmentation tactics and strategies
- How to size your market
- Product / market fit

## Before you select an audience, set a clear numeric goal

The big mistake managers make with going to market is jumping straight into the strategy without quantifying their desired outcome. The entire point of a strategy is that it's a means of achieving an objective. Without an objective, your go to market strategy is aimless.

Starting with a strategy is a recipe for disaster!

When I worked at Sony, I had identified the perfect target customer for a new product. It was a match-made-in-heaven. The needs of the customer aligned perfectly with what the product delivered. The strategy was perfect! But there was just one HUGE problem: the customer segment was just too darn small. Even if I sold the product to every single member of that segment, it would barely have made a financial dent. You must have a goal, such as a clear financial objective, before you have a strategy. In my case, my goal required an imperfect strategy (i.e. pursuing an imperfect target customer) because the goal was more important.

Here are some examples of clear, quantified goals that will help dictate your strategy:

- Generate $15M in one year
- Sell 100,000 units in 6 months
- Break even on development costs in 2 years
- Achieve 50% market share
- Grow brand awareness among segment B by 90%
- Grow purchase intent by 3% among segment A

- Grow Net Promoter Score by 30% among current customers in segment B
- Generate $1M in pipeline monthly recurring revenue (MRR)
- Generate 200 qualified sales leads per month

Example

One of the most effective ways of generating new leads is to be a guest speaker for an influential organization. I was reaching out to key organizations to schedule my CEO as a webinar speaker. This kind of marketing is very effective in building your company as an influential thought leader. The problem is that leads generated in this way can require a lot of nurturing before they are ready to buy. In the long-term, such as an approach makes sense. If your goal, however, is to generate x-number of qualified leads THIS QUARTER you shouldn't be wasting time on high-level, long-term content marketing. Your company could be burning through cash so quickly that it simply cannot afford to invest in long-term tactics. Instead, the smarter course of action is to focus on existing leads and get them to the point where they are ready to speak to sales reps. That requires building content that is a bit more product-centric and that covers very specific pain points rather than high-level aspirations.

Nothing will help you focus more than writing a clear numeric goal:

- You won't waste time on inconsequential tactics
- You won't choose a target segment that is too small or too large
- You will make smarter decisions on how to allocate your marketing budget
- You'll be able to hone in on the partners who will matter most

- You'll know what marketing budget to request

There's a reason you created this product so it shouldn't be that hard to write down an objective. If you're working at a tiny company, your goal might be to retire off the proceeds from this product. In that case, just put down $3M profit as the objective. That way you don't waste your time dealing with tiny markets and tiny marketing tactics.

If you work for a large company, your goal might be to generate $100M in revenue or to acquire 1M users without any clear financial target.

Just ask yourself one question:

How will I know this product was a success or not?

Remember: If you're not the founder or CEO of the organization, make sure whatever goal you've set aligns to the goal of the business. In larger organizations, the goal of the new product will in part be defined by the organization's needs. The #1 way to do this is to ask what metrics are discussed in board meetings. What needles is the board of directors looking at, and how will your product help move them? That's the best thing you can do to guarantee business alignment.

## Pick your target customer

I've worked with lots of companies that invested heavily in products only to see them fail miserably when they went to market. When it fails, people start playing the blame game:

- "Our PR agent wasn't very good!"
- "We didn't have the same features as our competitor"
- "Google Ads was a wasted investment"
- "On-boarding was too slow and error-prone"
- "Another product released at the same time!"

The list is endless. But in reality, these are symptoms of a failed strategy rather than causes of the failed launch. Strategic mistakes cascade through everything, and usually, a poor strategic decision results in tactics that don't work, no matter what your budget.

And the first strategic decision that usually gets made is choosing a target customer. If you choose the right customer, then you have a larger margin for error when it comes to executing your campaign. With that in mind, here's how you pick to right target customer.

# Estimate supply and demand

You need to select a target customer or market that has enough demand to achieve your desired outcome. This is a surprisingly common mistake, so let’s break it down a little into the common traps we see.

### Scenario 1: No demand

First, you have a product where there truly is not enough demand to support the primary goal.

For example, let’s say you’re launching a new pet insurance product specifically for retired racing greyhounds. Great! That’s a super niche audience, which means you can probably create a value proposition and messaging that’s hyper-relevant to your target customers.

But let’s say there are two million retired greyhounds out there, and you need 4 million to achieve profitability.

While your product might be great, there just isn’t enough demand there to make the product work.

If you’re in this bucket, then you need to pivot to serve a larger target audience.

### Scenario 2: No demand…yet

This is all too common in the world of technology. An entrepreneur identifies a problem and thinks: “I can fix this!”

Currently, there’s no market for their solution, but the potential market is huge, and they’re going to crack it wide open.

This is called category creation and, if executed correctly, it can be extremely effective. Since you're all alone in the market, you tend to get first mover advantage and all the perks that come with that, including brand awareness, thought leadership, and zero competitors.

However, category creation is extremely difficult. There are years of zero or no profit and revenue, and you are usually required to spend huge sums of money on demand creation. That is, educating people about the problem you've identified, creating a demand for your solution. Only then can you start the process of demand generation and start to see returns on your marketing spend.

Most importantly, category creation is a long-haul play. And, if your product isn't sufficiently unique, you may find that your years of creating demand can be stolen by a newer, faster-moving competitor who swoops in once you've done the hard yards of category creation.

**Scenario 3: A lot of demand…but a lot more supply**

Another big mistake would be selling something that is oversupplied. If you market something that doesn't provide much superior value over similar products on the market, then you are doomed to failure.

This is why measuring supply is an important step in planning your go to market strategy.

Example

One of the biggest mistakes new Amazon sellers make is choosing overly niche products that generate miniscule revenue. A smarter approach would be to look at what is already selling well (using data from a resource such as Jungle Scout) and improve upon deficiencies that appear in product

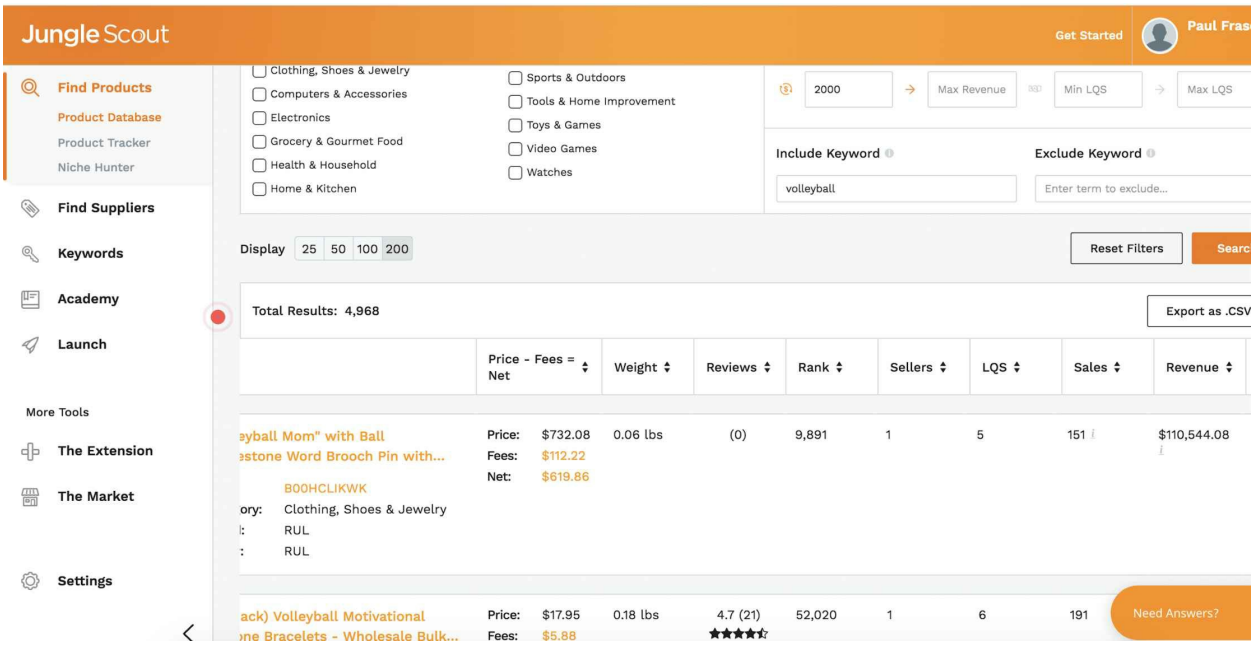
reviews.

Example

Publishers have the very difficult task of trying to estimate how well a new book, video game, movie, or similar product will perform in the market. This is particularly important because the bulk of the marketing budget is spent in one very narrow window of time. The way they overcome this challenge is by using “comps” or comparable products to see how well they performed historically. If you are selling a new product, look at how well similar products have done in the past to estimate demand.

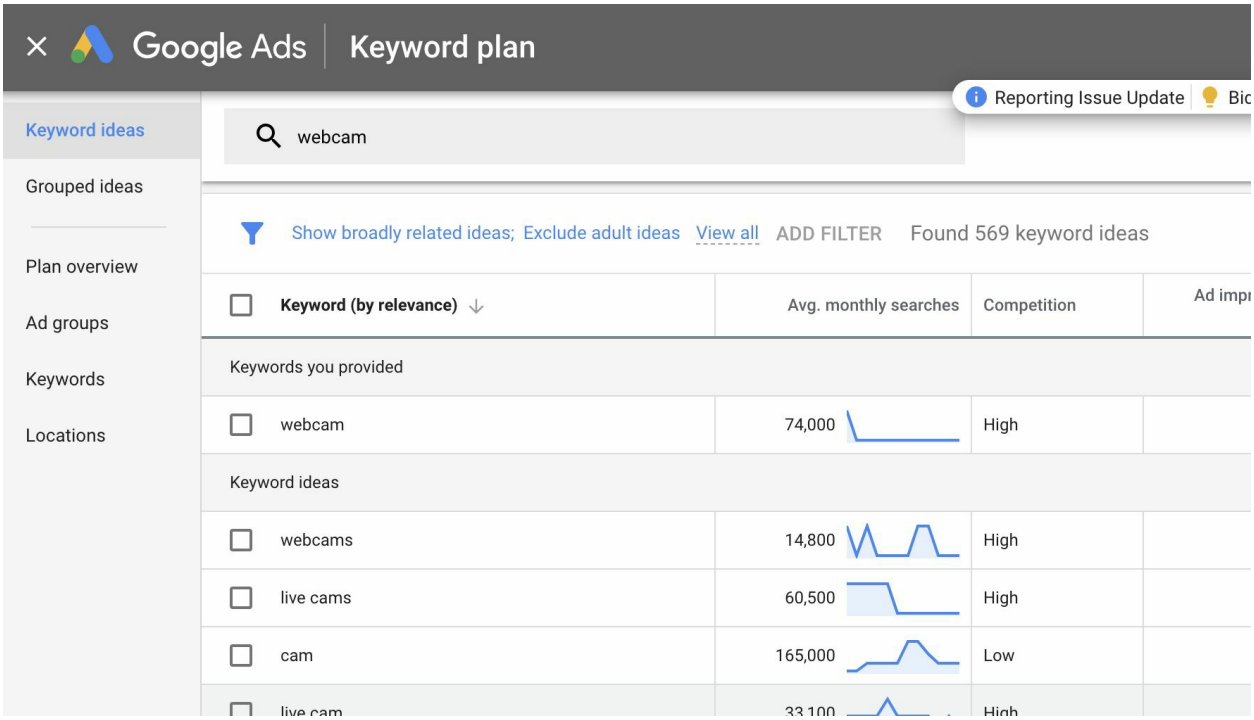
There are various ways to estimate demand and supply:

- Look at how well comparable products are selling using tools such as Jungle Scout or your own historical records:

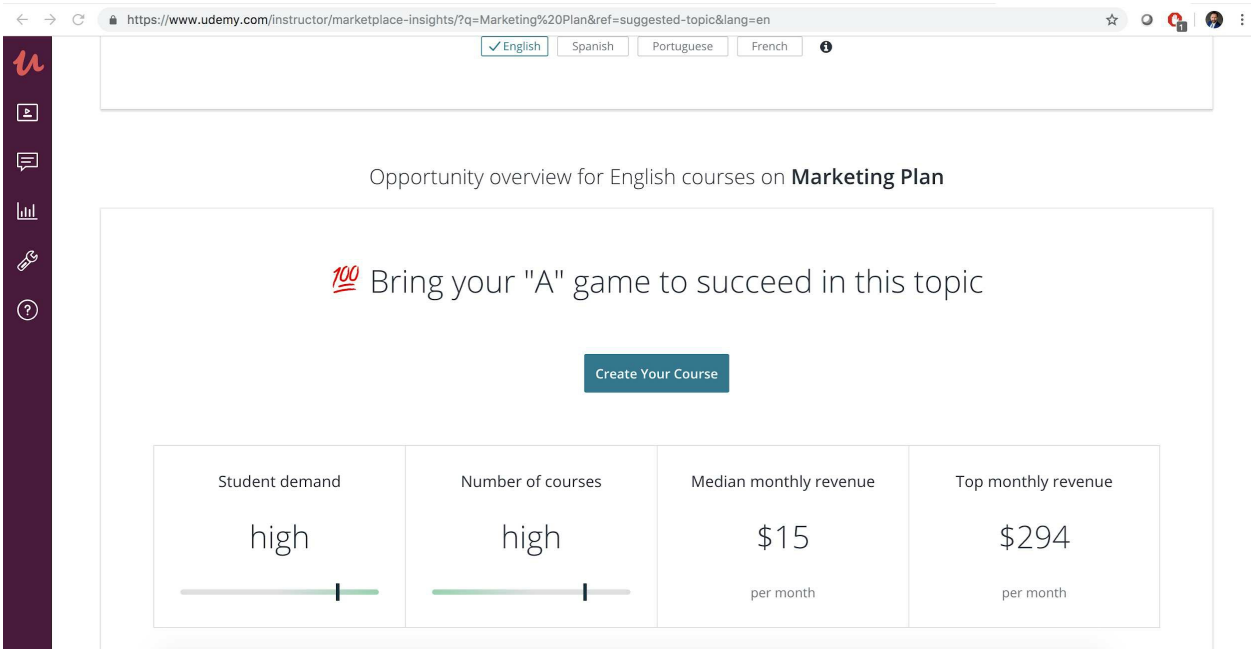



- Use Google keyword planner to see how many people are searching

for a solution to the problem you sell:




- Google trends can help if you expect demand to grow or shrink.
- Some marketplaces such as Udemy will provide tools that give an estimate of both demand and supply:



## Identify your target market

More goes into picking a market than just making sure you have enough supply.

Usually when marketers talk about target markets, what they're really thinking about are target customers. But this isn't quite accurate because markets include more than just customers. Imagine for a moment a physical marketplace—a place where people go to buy vegetables, clothing, and tools. There aren't just customers in that market; it is an entire ecosystem of buyers and sellers.

Focusing only on customers will get you into trouble. Airbnb, for example, cannot just focus on its target customers. It must also create value for the many people who rent out their homes—i.e., it must also focus on the sellers in the marketplace. Otherwise the entire two-sided market would fall apart, and their marketing strategy would be unsustainable.

A given target market actually consists of five components known as the 5Cs:

1. Customers: Who are you selling to? What problem do they have?
2. Company (in other words, your company): How do you solve your customers' problems? Where can you solve it better than the status quo / current solutions?
3. Collaborators (such as partners and influencers): Are you relying on partners, resellers, or platforms to help you get your product into the hands of your target customer?
4. Context (such as changing environment and regulations): Is there a

compelling event that's driving a purchase now, or are there regulations you need to work around?

5. Competitors: Who else is in the market? Where do you win and where do they lose? How do people solve the problem right now?

A note on competitors

When we talk about competitors, we usually think about other providers of our product. For instance, if you're making a movie for Netflix, you might think of your competitors as all the other movies on Netflix. In reality though, your competitors are *every single other way that your target audience can spend their leisure time.* This might be playing video games, going to a movie, watching videos on YouTube, reading a book...It's endless. Another example is B2B software. While you might have competitors who people look at if they're considering your solution, your competitors are also how else they might solve the problem, which includes using software like Excel, getting consultants to do it, or just not solving it at all. When you're thinking of competitors you need to consider a much larger picture than just your category.

As you can see, choosing a target market is more involved than simply finding the ideal buyer. It requires studying the overall market and determining whether that is a space in which you want to participate. The customers in a particular market may be ideal, but if there are too many competitors active in the space, then it may not be viable. Alternatively, a particular market may seem unattractive because it has a lot of competitors, but if you happen to have collaborators with a lot of clout in that market, then it could be strategically viable.

As you design your go to market strategy, it’s important to consider all of the 5Cs, even if only in passing.

## Segmentation

As you build you go to market strategy, one of the first questions should be:

*Who's going to buy this?*

And that's a more complicated question than you might think.

There are dozens of different ways to define your target audience. Which strategy you choose will depend on your specific circumstances, but here are some tactics you can use to define your ideal client profile, or ICP:

- **Firmographically**: In business-to-business marketing, it is common to divide customers based on their industry, because in this case your 'customer' is actually an entire business.
- **Behaviourally**: That is, you divide customers based on certain behaviors such as how much money they spend or how much time they spend using your product. It is very important to focus on your most profitable segments.
- **Motivationally**: Overall, we would say that the best approach to segmentation is motivational. That is, you separate your customers based on their motivations for using your product.
- **Demographically**: Segmenting based on demographic information like gender and age.

These approaches to segmentation are not mutually exclusive. You can actually combine them or use different ones for different purposes—one for strategy and another for media buying, for example.

Most marketers rely on their intuition and arbitrary choices to segment the market. Often they don't realize they're doing this because they use quantitative data, which makes them feel as though they're being objective. Wrong. Quantitative data does not make your segmentation objective.

Usually, marketers segment based on industry, gender, usage behavior, or some combination of variables. The problem is that they've pre-determined which variables are important. How do you actually know that you should be slicing and dicing the market by industry or by gender? Why not by age? Or by income? Or by time spent using the product? Or by time of day using the product? How do you know which variables are most important to divide the market?

In marketing today, we're drowning in data. Because of this, you cannot look at the numbers and get an intuitive sense of what's happening. It's impossible. Humans are just too simple to see patterns in massive quantities of data. There is just too much complexity. That's where cluster analysis enters the picture.

**Cluster analysis**

*Cluster analysis* is one way to systematically approach segmentation and use data to drive your audience targeting, thus laying the foundation for everything else in your go to market plan.

Here's how it works.

First, you collect your raw data. For instance, you might send out a survey asking lots of questions about people's behaviors and motivations when it comes to the type of product you sell. You might ask about firmographic and / or demographic information, behavioural information, or motivational

information (e.g. “what were you doing when you decided you wanted to buy a product in this category?”)

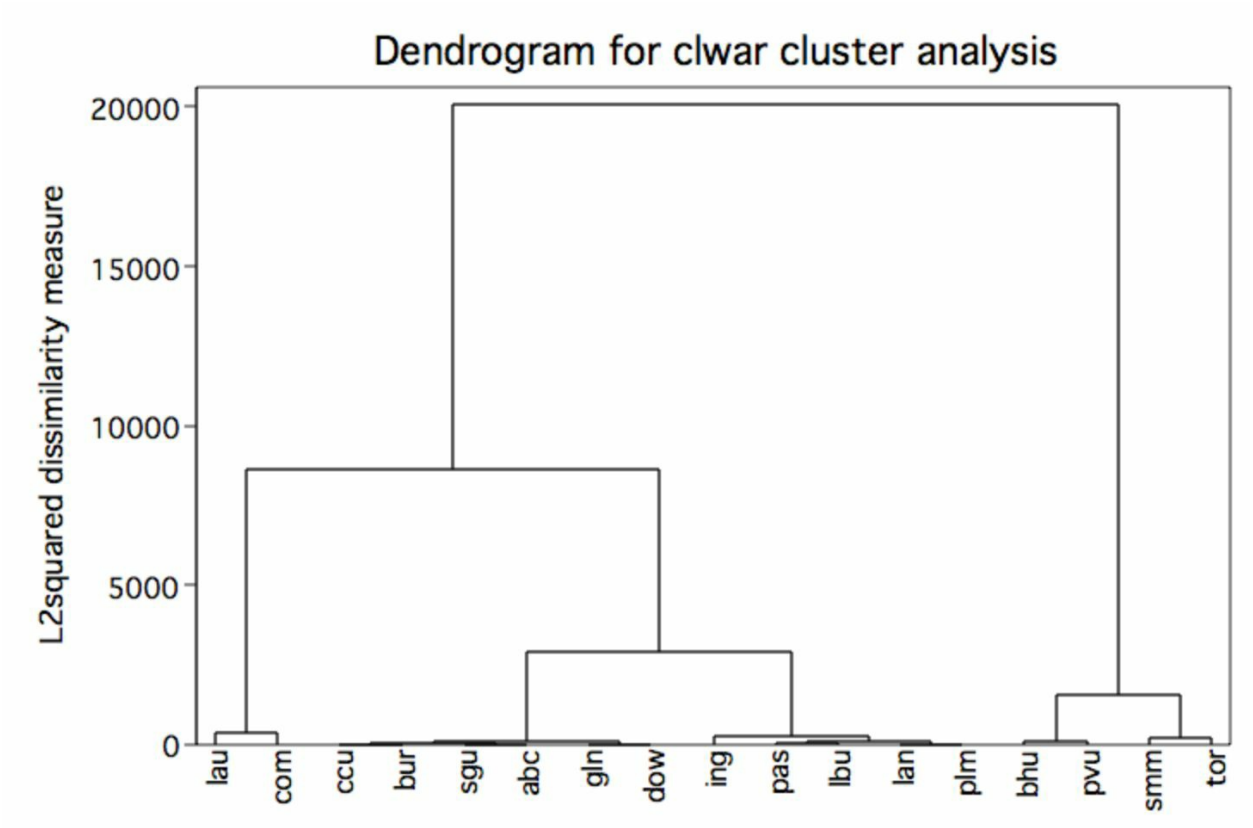
Then, you then take the quantitative results and run a statistical process called a *cluster analysis*. This process automatically clusters all of the data you’ve collected into segments. Once you have the groups, you can see if those groups correlate to demographic or firmographic data. For example, group 1 might consist of people who spend a lot of time and money on their laptops. That group could also be predominantly male. While the group is determined by the continuous variables *time* and *money*, it correlates positively with the binary variable *gender*. A common go-to-market mistake is segmenting first with demographic or firmographic data when other data are often more relevant and easier to quantify. You’re lucky if your segments align closely with demographic data because that makes targeting easier. Quite often, however, demographic data proves to be irrelevant. Usually customers segment based on needs that cross demographic and firmographic boundaries.

At the end of this process, you’ll have a statistically relevant map of insights.

For example, say you’re a software company who makes a data aggregation tool that syncs the sales and marketing tech stack and pulls out relevant data insights.

Once you complete your cluster analysis, you might find that midmarket companies (firmographically) start to look for a product in your category when they’re trying to push for a Series B round of funding, and need to pass stringent due diligence (motivationally).

Used this way, cluster analysis can be a powerful way to segment and to choose your target customers.




*Reference: Phil Ender*

This is a denogram—a visualization of what cluster analysis looks like. You can see here that are basically three different clusters of customers. Cluster analysis accounts for many different variables, so it's not easy to make simple statements such as "cluster 1 is rich people" and "cluster 2 is poor people." You need to look closer at the data to see how the clusters differ from one another on each variable.

The specifics of how to do a cluster analysis will vary depending on which program you are using (such as SPSS or STATA).

This work is absolutely critical to going to market. If you can understand the best people to buy your product, then you're going to be much more successful as you grow (and spend!) your way into the market.

## How to do cluster analysis

Cluster analysis doesn’t have to be some intimidating process that requires business intelligence tools and a Masters degree in statistics. Here’s how you can cluster your data using Excel and your CRM / system of record.

Let’s say you have data for 1,000 customers. This includes:

- Hard data from your accounting system or Salesforce or wherever that tells you how much revenue these customers generate for the company
- Product usage data via Pendo or a similar tool
- Purchase history for each individual customer
- Marketing data, like participation in various campaigns or referrals you’ve received from them

There are countless behavioral metrics you could be collecting. All this data exists in your database, but you might also have tons of data from surveys that tells you things like what motivates them to buy in your category or what keeps them up at night. How do you make sense of it all?

First, pull all the data out of your various systems and plonk it into a spreadsheet.

Assign the 1st column in your spreadsheet to your customers. Every column thereafter should represent the variables you’ve collected for each customer. For example, your 2nd column might be revenue, and your 3rd column might be time spent using your product per month.

Now you might start to see a problem here. Each variable is on a different scale. For instance, how are you supposed to compare revenue to time? If your revenue is measured in millions of dollars and your time is measured

in dozens of hours, then the analysis is going to give undue weight towards the millions of dollars. That's why you need to standardize the data.

One way to do this is to convert each data point into a z-score. By converting each data point into a z-score, you can fairly compare the numbers. The way you get a z-score is by taking your number, subtracting the average, and then dividing by the standard deviation. You can learn more about this on Khan Academy.

So let's take the revenue column. You need to calculate the average revenue for all your customers, followed by the standard deviation. By doing so, you can then replace every dollar figure with the z-score. Next, do the same thing for the time column. Convert every time data point into a z-score.

Another problem you're going to run into is that some of your variables are going to be binary, such as sex, or non-continuous, such as state or country. One way to handle these variables is to simply omit them from the cluster analysis. Once you've produced the clusters, you can then determine if those clusters correlate with things like sex or country.

Once you have a spreadsheet with your customer data standardized, you can run cluster analysis using Stata, SPSS, R, Excel, or some other statistical program.

These programs will give you the option of producing a visual graphic called a dendrogram. Here you can see how your customer data tends to group into clusters.

The output of your cluster analysis might yield something like this. Suppose it generates four clusters; cluster 1 tends to be high in revenue but low on

time; cluster 2 might be low in revenue and low on time; cluster 3 might be high in revenue and high on time; and cluster 4 might be low in revenue and high on time.

You can then run a correlation test between each cluster and the variables we couldn't test earlier, such as sex or country. You might find that cluster 1 tends to be skewed towards male.

So let's take cluster 1 as an example. This group is high in revenue generated, low on time spent using your product, and tends to be male. This could be the statistical foundation for a persona.

Using cluster analysis, you can pull together disparate data threads to tell a story that you can use in your marketing. And by identifying different variables that tend to correlate to profitable customers, you can spend your marketing dollars efficiently by appealing only to those who are going to actually make your organization money.

**Look at your most profitable customers**

One of the easiest ways to choose a target customer group is to identify who your top customers are. Take a look at your accounting software or CRM. List your clients in order from the most profitable to the least profitable. You may also need to make some assumptions depending on how sophisticated your record-keeping is. For example, you might need to use revenue as a proxy for profit.

Here is an actual example of a case I worked on. The company had a software system to collect information on transactions and customers. I exported this to Excel and then sorted the customers in order of the amount of sales they

generated.

If you have thousands of customers, I recommend that you break the data up into deciles. By this, I mean 10 groups. So the first decile will be the top 10% of customers in terms of revenue or profit and the last decile will be the bottom 10% of customers.

| decile | total sales | % of sales | cumulative % of sales |
|---|---|---|---|
| 10 | 504747.04 | 36.79341111 | 36.79341111 |
| 9 | 240036.77 | 17.4974212 | 54.29083231 |
| 8 | 165449.99 | 12.06043625 | 66.35126856 |
| 7 | 129976.97 | 9.474639201 | 75.82590776 |
| 6 | 105029.41 | 7.656092962 | 83.48200073 |
| 5 | 81980.83 | 5.975972402 | 89.45797313 |
| 4 | 58653.32 | 4.275519309 | 93.73349244 |
| 3 | 42394.6 | 3.090343921 | 96.82383636 |
| 2 | 30128.65 | 2.196220518 | 99.02005687 |
| 1 | 13443.26 | 0.979943125 | 100 |

Based on the statistical analysis I've done personally and the research I've seen, your profit is probably being driven by a small group of clients. 80% of your profit could be coming from just about 20% of your entire client base.

This is the same case I described earlier, only instead of presenting every single customer, I am presenting 10 clumps of customers. I took the total number of customers and divided that number by ten. That gave me the size of each decile, and then I added up the sales for each decile. I then divided that number by the total sales to the percentage of sales coming from that decile. To arrive at the cumulative percentage of sales, I just added up the numbers from the 3rd column.

So what does this data tell us? Well, it shows us that almost 37% of sales are coming from just the first decile! The first deciles account for half of the sales! This has huge strategic implications.

If over half of your sales are coming from just 20% of your customers, then you may want to consider focusing just on that group. The remaining group might not be worth the effort. If you can get more people who look like that top 20%, then you may grow a lot faster.

Now that you know where you revenue is coming from, you can do a cluster analysis and see what unites these customers. You want to ask: What issues were they facing when they came to you? What complaints do they have? Why do they keep coming back to you? What compelling event drove their purchase?

**Segmenting without historic data**

The position a lot of startups end up in is having to make a lot of decisions around target market definition without a lot of existing data. When this happens (especially if it's very early stage) they go back to selling to the audience they know rather than the audience that is the best fit for the product. Alternatively, they don't define the ICP accurately, and try to target everyone.

Neither is a good solution. Here's what you can do if you don't have any data:

- Talk to prospects
- Identify where in the market there is evidence of under-served customers
- Try to answer these important questions and take action from there:

- Where’s your existing domain expertise?
- Can you use that to accelerate sales in a specific domain?
- Is it valuable to tap a local network first?

**Personas**

Once you’ve identified your target market (with or without data) you need to make a decison on personas. Personas are essentially a person you’ve created that represents your target buyer. The idea is, you take your chosen company segment, identify who at that company is going to be the one who buys your product, and you create a person to represent them.

For example, if you sell into mid-sized engineer-to-order companies, and the person at your target organization who’s involved in every deal is the Director of Mechanical Engineering, your pesona might be Mechanical Mike.

You’d layer on the demographic infortmation that you know about Mechanical Mike (male, white, 45-67 years old, married, etc... )

Then the motivational drivers.. (e.g. wants to do a great job, lots of pride in his work)

Then the stressors and pains (doesn’t have enough time, hard to balance time at the office with time with his family, lots of experience but not a big fan of change, etc…)

Finally, you’d package all of this information into a cheat card, so anyone in the organization can understand your target audience.

Persona’s can be powerful tools, particularly when they’re based on data. It’s often easier to create compelling campaigns when you have a physical representation of the people you’re actually selling to, instead of “engineering

companies with over $50 million in annual revenue”.

However, be warned:

- Personas take an extremely long time to craft well. If you’re strapped for resources, then there are usually other go to market priorities that should take precedence.
- The only thing worse than no persona is an inaccurate one. And marketing is often guilty of building personas that don’t meaningfully help sales teams, or lead to creative that forges a meaningful connection with the audience.
- Because of the creative flair needed to craft a great, sticky persona, they often become traps for what marketing teams *suspect* or *wish* their audience was, rather than a useful reflection of what it actually is.

# Market sizing

However you decide to segment your audience, the next thing you need to do is figure out the size of this target audience to make sure that it's big enough to reach your objective. This is called market sizing.

Basically, are there enough of your target customers out there who can buy your product?

### Total Addressable Market (TAM)

One of the best—and easiest—ways to market size is looking at the investor relations pages for public companies in your industry. Quite often, public companies will post investor presentations that do the work of sizing the markets for you. Often this is communicated in terms of a "TAM," or total addressable market. For example, if you work in ecommerce, look at the information Amazon and Shopify publish for their investors. If you work in creative software, look to Adobe.

Another way to size markets is to look at databases of lead lists. If you work in demand generation, you may have purchased access to a database of companies or leads. You can plug in the criteria you're looking for—such as revenue size and location—and the database will spit out how many companies fit that profile. Keep in mind that the number you get will only represent a fraction of the market (unless your database has every company in the industry), so you will need to inflate whatever number you get. Ask whoever manages the database to estimate how much of the market the database covers. If that estimate is 75%, then you'll need to extrapolate by dividing your numbers by 0.75.

A third approach to market sizing is to use the data companies provide you for free in their advertising platforms. When you sign up for advertising with LinkedIn and Facebook, for example, they will tell you how many people or companies fit the profile that you are looking for. You can use these numbers to estimate how many customers are in your target market. You can also do the same title-based sizing based on government census and labour statistics data. If you're targeting an international market though, this process quickly becomes extremely time-consuming and difficult.

The fourth approach to market sizing is to look at third-party research. A research company may have already sized the market. Just look on Google and leverage the research that's already been done.

The last approach to sizing markets is to do your own primary research. You could go out and manually count people, products, or companies, and then extract the sample you collected to the overall population. You could also do surveys and extrapolate your data in the same way.

Keep in mind that there are a variety of different metrics that can be used to size markets. One is revenues or profits within a market. This information can come from different sources including Statista, investor relations pages, or from market research companies such as Mintel. Another metric could be the number of companies or consumers. Depending on your industry, other metrics may be even more important, such as order volume or pounds of material shipped.

### Serviceable Attainable Market (SAM)

If your TAM is the total number of customers who could potentially buy your product, then your serviceable attainable market, or SAM, is all the customers who could potentially buy your product that you can actually sell

to.

For example, if you make whistles, your TAM might be the global whistle market. But if you can only service customers in the US, then your SAM would be the US whistle market.

SAM is usually geographic, but it doesn't have to be. You might sell design software, but only support English. Therefore, your SAM would be the English-speaking design world.

**Serviceable Obtainable Market (SOM)**

Finally, SOM. Your Serviceable Obtainable Market is the section of the market you can reasonably target and who you can expect to purchase your product. Your segmentation work from earlier, or any other work you've used to identify your target market should comprise your SOM.

As a good rule of thumb, your SOM should be at least twice as big as your revenue objective in a given time period. For instance, if your goal is to close $10 million in revenue this year, then the SOM you need to do that needs to be at least $20 million. That's because you'll start to see diminishing returns once you reach 50% market share. As Geoffrey A. Moore explains in *Crossing the Chasm*, once you hit the halfway point, capturing the remaining 50% of a market becomes more trouble than it's worth. Instead, you should tweak your go to market strategy, re-launch into a new market, and do it tall over again with all the lessons you've learned. This is called the beach head technique.

Pivot! Pivot! The harsh reality of diminishing returns

All this work that you've now put into audience identification and segmentation comes with a vicious caveat—you're going to be doing it all

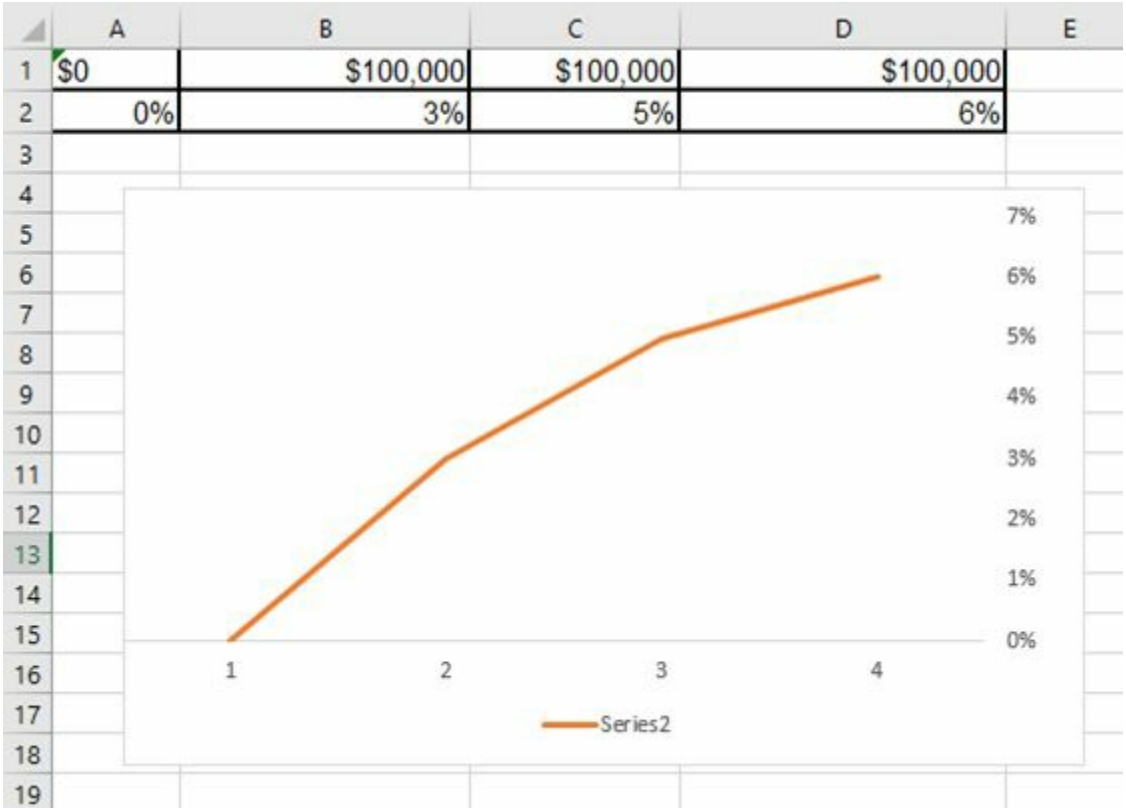
over again, and soon. Why? Diminishing returns.

*Diminishing returns* are when your advertising dollars achieve progressively worse results for the same spend. Let's say you spend $1 million building awareness for your brand. Your brand awareness—in other words, how familiar people are with your brand—will undoubtedly grow. But it's actually very difficult and expensive to go from high brand awareness to very high brand awareness, so you may want to identify where that inflection point is. Here's an example:

| Month | 1 | 2 | 3 | 4 |
|---|---|---|---|---|
| Advertising spent | $0 | $100,000 | $100,000 | $100,000 |
| Brand awareness among target | 0% | 3% | 5% | 6% |

You can see that if you spend nothing on advertising, you won't have any brand awareness. But let's say that you start spending the same amount on advertising each month. Your brand awareness jumps to 3% in month 2 and then to 5% in month 3. But in month 4, your brand awareness only increases from 5% to 6%. You invested the exact same amount, but you're getting less return for that investment.

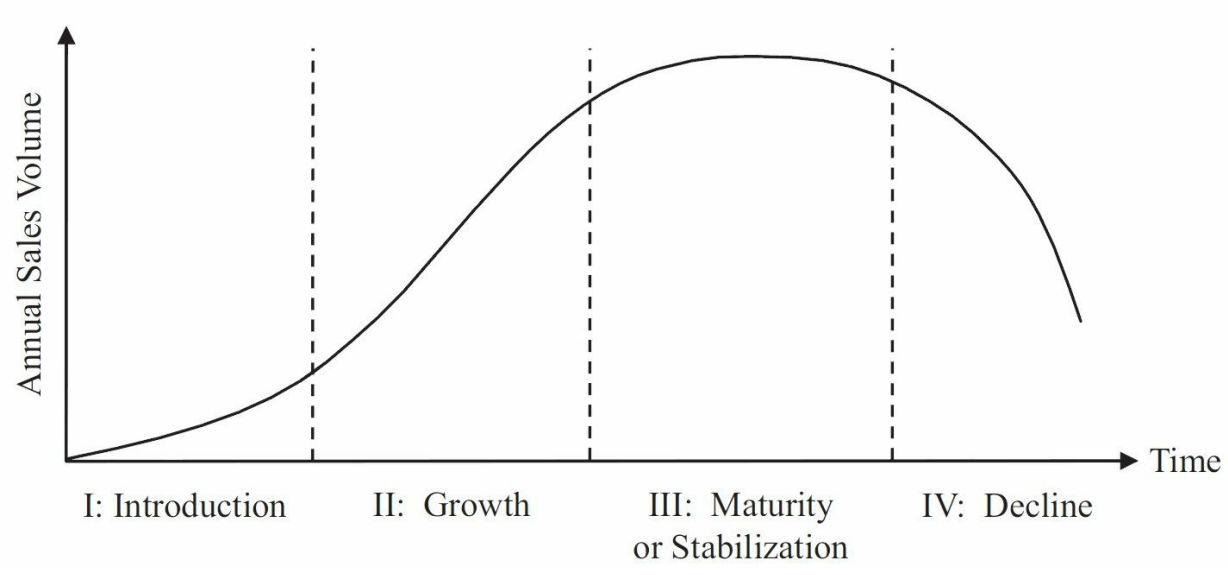
I took part of that table and pasted it into Excel. I then inserted a graph to be able to see this visually. Do you notice how the orange line gets less and less steep? That shows the diminishing returns you face with this brand campaign.




You need to decide as a team when it’s time to pivot to maximize your returns.

# Product lifecycle

As you can see, there are a lot of marketing decisions to make. And one critical factor is where you are in the product lifecycle. Here you can see the typical stages and sales curve that are used to depict the lifecycle.




*Reference: Wiley & Sons*

A lot of thought leadership in marketing comes from people who manage products at the maturity stage. Often these products are consumer packaged goods from companies such as Procter and Gamble. At this stage, there's a strong emphasis on competition and cost-cutting to drive up profit margins. There is also a heavy emphasis on massive brand marketing campaigns rather than demand generation campaigns.

But for many go to market teams, the context is completely different. You might be working with products at the introduction and growth phases. At these stages, you often don't need to focus very much on competitors. That is because the market is growing and can support many different competitors.

Moreover, brand awareness may be so low that customers just aren't aware that you even *have* competitors. And on top of that, cost-cutting may also be less important. One reason for this is that growth will come from other sources, such as expanding revenue and a growing market. Your target in this case—early adopters—are also often less price-sensitive, so you can make up for high expenses with high prices.

In these stages, massive brand marketing is less relevant. You and your competitors probably haven't built up the economies of scale required to invest in TV campaigns, for instance.

It's also worth noting that in the early stages of a product's lifecycle, it can be difficult to have a strategy at all. The product may change rapidly to accommodate whatever market signals you receive. You don't have a lot of data on customers, and it's difficult to define what your target market really is. What's more, your value proposition may not even be all that different from your competitors.

I'm a huge fan of strategy, but I must admit that in the early stages, trial-and-error can sometimes be more important than strategic planning.

# Identifying and analyzing competitors

A key factor in selecting a market is understanding the competition. This is a two-step process: (1) finding your in-market competitors, and (2) finding and understanding your audience's competitive alternatives. Then, you're in a good position to develop compelling value propositions and messaging to drive your go to market strategy.

### Step 1: Identify your in-market competition

This is probably the easiest step. The first kind of competition is the one we're familiar with: it's *the companies and solutions you lose to after your target audience has decided to spend some money on the problem*.

So your first step is to identify who the competitors are within your chosen market category. Sometimes, this is easy. However, there are probably competitors who you're not thinking of or who you haven't run into during your sales cycles.

Fortunately, there's lots of ways to get this information:

- Use tools like Crayon to track competitors
- Use tools like SpyFu, Google Keyword Planner, SEMRush, or Moz to identify competitors based on their online content and advertising strategies
- Look at category groupings on review sites like G2, Capterra, Yelp, or Google Reviews
- Hire people to research for you on Upwork or Fiverr
- Review other organization's web presences with tools like SimilarWeb

- Review your existing data and identify who you're losing deals to. Does anything unite the deals you lose to specific competitors (e.g. size, industry, etc.)?
- Complete win / loss analyses with your prospects. Who else did they look at during the sales cycle?

Once you have a list of competitors, you need to start analyzing them.

First, look at the competitive advantage each competitor has. Competitive advantage basically boils down to just two things: (1) economies of scale, and (2) customer captivity (e.g. churn rate).

- **Estimate economies of scale** by collecting data on your competitors, such as the number of employees, revenue, venture-capital funding, and social media followers. If you aggregate all of these, you can get a sense of their scale.

- **To assess customer captivity**, you want to look at things like subscription models, cancelation penalties, customization packages, and personalization options for their products. All these options make it more difficult for customers to leave. And from your perspective, that means your competitors are making it more difficult for you to capture their market share.

**After looking at competitive advantage at the economic level, I then look at competitors in terms of marketing strategy**. Here, you want to look at things like what targets customers the competitors are going after and how they are communicating value to these customers. Look at their websites to see which verticals (industries) they are targeting. Look at how they talk about their value proposition. You will get a sense of the positioning they are trying to use to secure in the market.

**The third level I look at is tactical**. Look at their pricing, packaging, product features, functionality, and anything else that could be relevant, such as advertisements. The downside of this kind of analysis is that it can be endless—so you want to stay focused on the top competitors you've identified.

To find this kind of information, start by scouring review sites and discussing these issues with your prospects. These conversations can be a goldmine for this kind of tactical information. By talking to people who have been through sales cycles with other companies, you start to get a sense for where those other companies focus, and what they pitch as their value proposition. If you're lucky, you might even get a sense of how your prospects would respond to your product offering, and you can start to shore up your position against those objections.

The best way to help structure this analysis is a framework like the one below. This will give you an idea of market presence, quality of service, and why people do or do not like them.

| **Competitor** | **Domain Authority (SEO Moz)** | **Site Traffic Rank (SimilarWeb)** | **Rating (G2)** | **Positioning From Reviews** | **Ease Of Use (G2)** | **Specific product weakness** |
|---|---|---|---|---|---|---|
| A | 47 | 100,000 | 4.0 | "intuitive" | 6.5 | x2 more expensive |
| B | 37 | 500,000 | 3.0 | "fast"<br>"easy" | 10 | Doesn't integrate to |

| | | | | | | |
|---|---|---|---|---|---|---|
| | | | | | | Salesforce |
| C | 55 | 900,000 | 4.9 | “affordable” | 5.5 | Low internal adoption |

This first step is relatively straightforward; what’s more challenging is mapping out your competitive alternatives.

**Step 2: Identify your competitive alternatives**

Competitive alternatives are what your audience would do if your product didn’t exist. I like to think of it this way: If someone was solving the problem you solve, without buying you or any of the competitors you’ve identified, how would they do it?

For example, let’s say you make marketing automation software. Your competitors might be HubSpot, Marketo, and Pardot. Your competitive alternatives might be:

- Not doing email marketing
- Sending emails manually
- Only running email marketing through sales cadences via the sales team

Or say, for example you make running shoes specifically for running on treadmills. Your competitors might be Nike and New Balance. Your competitive alternatives might be:

- Swimming
- Other cardio gym activities (rowing machines, stair climbers, etc.)

- Barefoot running
- Other, less specialized footwear

Finally, let's say you're going to market with a new video game. Since you're primarily offering fun in exchange for time, your competitive alternatives are *every other fun way someone could spend time*. This includes:

- Other media (TV, Netflix, etc.)
- Hanging out with friends
- Hobbies or classes

When you think about the customer lifecycle, competitive alternatives tend to come first. Before Netflix came along, for example, their customers were perfectly happy renting DVDs from a local store—until Netflix convinced them that on-demand streaming was what they *really* wanted. So the first thing you need to do is convince your target audience that they need what you're selling at all. Then, once they're in-market, you need to convince them that your product is the best.

**Remember**: You don't define the competition or the market—your customers do. Which brings us to the issue of product / market fit.

# Product / market fit

Marc Andreesen, the co-founder of Netscape and later, the co-founder of Andreessen Horowitz, defines product / market fit as "*being in a good market with a product that can satisfy that market.*"

Essentially, product/market fit means that a company has achieved three things:

1. It has found a market for its product
2. It has gotten that product into the hands of (some) of its target audience
3. s customers are generally happy with the product and how it's solving their problem

In short, it's an amalgamation of everything we've talked about so far.

For startups, finding product / market fit is critical: put bluntly, if they fail to find product / market fit, they'll fail completely.

Even an amazing team, with an amazing product has a small shot at success if it hasn't nailed its product / market fit. But an average team, with an average product, with *amazing* product / market fit will be incredibly successful.

Therefore, before you go to market, it's essential that you have product / market fit. And that's going to look different depending on your organization.

For startups, it means you:

- Have secured some level of audience engagement
- Have a few customers under your belt
- Are generally getting positive feedback

You’re likely reliant on founder selling and 1-2 great reps to get deals across the line. Landing a sale is still a big deal, and a refined, working sales process might not yet be in place.

For larger organizations who are launching new products, product / market fit will likely be a different beast. Better brand recognition, an already-proven market, and a loyal audience all make it much easier to launch something new. However, those same benefits mean that your sales team, driven by quotas, will likely gravitate to your existing product line.

What’s more, your positioning, messaging, target audience, sales materials, and competitors are likely all different from what your sales team knows. It’s critical that you first secure product / market fit—that is, selling a few deals, market-testing your positioning, seeing if customers are happy—before you really go to market and involve more resources.

## Product / market fit vs go to market

So what's the difference between finding product / market fit and going to market?

Scale.

Product / market fit is all finding your target market with testing, iterating, and exploring new ideas until you identify the people who are going to love your product *and are enthusiastic to give you money for it*.

Finding product / market fit is an inherently unscalable process, because the focus is on riffing on new ideas incredibly quickly until you strike gold. It's also less focused on building a repeatable process because until you find your sweet spot, it's not worth the resources to make sure you can do it again and again.

Go to market strategy, in contrast, is all about the ability to execute and convert your product / market fit into repeatable, predictable revenue. Investing in people, processes, and systems that mean you can reliably deliver on your revenue targets is the name of the game.

| **Product / market fit** | **Go to market strategy** |
|---|---|
| Founder / VP Sales involved on every deal | Executive / leadership team is completely hands off on most sales |
| Sales process is loose | Sales process is buttoned down |
| Average contract value, conversion rates, and other core metrics are still | Baseline metrics are well understood—ROI calculations product |

| | |
|---|---|
| in flux | predictable results. |
| Focus is on MVP and iterative product / sales / marketing testing | Focus on process optimization to lower customer acquisition cost |
| Testing takes precedence over execution | Execution takes precedence over iteration |
| Inherently unscalable | Endlessly scalable |
| Marketing is focused on defining audiences, positioning, and messaging | Marketing is focused on generating demand within your target audience |

## Chapter summary questions

- Is your target audience large enough to support your business goals?
- Is there demand for your product beyond what the market is currently supplying, or are you creating demand for long term category domination?
- Have you identified your specific segments, including your TAM, SAM, and SOM?
- Do you know you competitors, competitive alternatives, and have you positioned your product to win against both?
- Do you have product / market fit?

# PART 2:
# VALUE PROPOSITIONS
*Understanding your value*

Now that you know who you're targeting, you need to refine WHAT your unique value proposition for your go to market strategy. Your value proposition isn't an ad or a piece of marketing collateral. It's an internal tool to help the entire go to market team understand what you bring to the table for your target audience. Collectively, your segmentation, value proposition, and messaging (which we'll address in the next section) form the foundational core your entire go to market approach.

In this chapter, we're going to:

- Define the key components that make up a value proposition
- Explain how to calculate the dollar value of your product
- Explore what to do if your value isn't attributable to a dollar figure

By the end of this chapter, you'll understand what a value proposition is, where it fits in your go to market strategy, and how to find one for your own product.

# The value proposition

A ***value proposition*** is a fundamental component of your marketing strategy. It is all the benefits you are offering—all the ways you create value—documented and outlined in a single place. It's an internal tool that will help focus your marketing on the value you bring to solve specific pains for your specific audience.

A good value proposition should be made up of three different components: *competitive advantage*, *positioning*, and *USP*. However, marketers often use these terms interchangeably when in fact they mean very different things. So we're going to dive into what each one is, and how it relates to your value proposition.

Of course, it's entirely possible to go to market without all three components. However, the strongest go to market strategy will be delivered by organizations who have multiple components in place.

For example, if you have no competitive advantage over your next-best alternative, but you have great positioning, you can successfully capture significant market share. However, you're going to be relatively easy to displace down the road.

That's why we recommend when you're building your go to market strategy and your value proposition you try and anchor it to as many components as possible This might mean you develop additional product features, target audiences, or pricing and packaging configurations to check every value proposition box.

**Competitive advantage**

***Competitive advantage*** is an economic term that means a condition or circumstance that puts a specific company is a superior business position.

There are four common types of competitive advantages:

1. *Economies of scale*: a company can produce more of their product at a lower cost because they're producing a lot of it, which makes it difficult for others to compete due to the low cost a specific company can offer. Mass producing suits vs bespoke suits are an example of this, where the mass-produced suit can offer a much better price, and capture more of the market because of it, due to the fact they're making lots of suits at once (and thus paying less to make each one).

2. *Customer captivity:* the cost and resources of switching to a competitor are very high, so it's hard for customers to switch. B2B subscription software (SaaS) often rely on this, since switching to another SaaS provider will likely require implementation, data, process, and people change—all of which are costly to the business and politically taxing internally for the people involved.

3. *Enforced competitive advantages*: Government licenses can prevent competitors from entering a market and offer a competitive advantage to those who hold the licenses. Telecommunications, infrastructure, transit, and energy companies are often an example of this.

4. *Technology advantage*: When a company has developed a truly innovative product that is both patent protected and expensive / impossible to replicate. Pharmaceutical companies are a good example of this sort of competitive advantage when they develop a new drug that can do what no one else can do.

A word of warning about technology advantage

It's easy to fall back on *technology advantage* as your competitive advantage, especially for tech companies. The reality, however, is that most technology companies do not, in fact, have a technology advantage. Yes, they solve a problem in a unique way, but generally speaking, it's not sufficiently different from the next-best alternative to be a true moat.

There are exceptions, of course. For instance, for legacy solutions, moving to the cloud is incredibly resource-intensive, if it's possible at all. So cloud-first products have a significant moat. Another example is data. Gong.io, for example, is a sales engagement and call recording solution for sales teams. Their technology records calls so sales reps and managers can listen back on the call and coach sellers to improve.

However, that technology is very easy to replicate. So Gong.io created a competitive advantage with data and machine learning. They analyze all the calls of their customers, creating a huge database of sales calls, and then used machine learning on those calls to build a world-class recommendation engine.

Their technology advantage isn't their product's technology, but rather, an advantage in data and machine learning — both of which are very difficult to replicate quickly.

**Unique Selling Proposition (USP)**

Your unique selling proposition is the single reason that sets you apart from both the competition in your category and from the next-best alternative. It should be a combination of a critical feature set, the benefit that the customer

gets, and how that relates to the pain you solve for.

Of course, this is often very similar to your positioning as we'll see in a second. They difference is that your USP is highly specific. It's a single feature / feature set that sets you apart from everyone else.

For example, if you were selling a gaming system, one unique value proposition might be exclusive rights to a specific game that is only available on your system.

By honing in on a hyper-specific feature set / benefit, you make it very clear to your potential customers why they would buy you over someone else. It's a single thing you can point to and say:

*This is how we're different from everyone else!*

Defensible USP

One challenge that startups in particular have is finding a defensible USP. What we mean is that your USP must be inarguably unique to you, ideally backed by data and social / third party proof.

For example, a lot of companies want to make customer service their USP, because they're great at it, and their customers love it. But is that defensible? No. Unless you've won an award, or been recognized by analysts like Forrester or Gartner, or you'be the highest-ranked company on something like G2, it's not something you can concretely say "we are the best." Plus, you'll have to look long and hard before you find a company who says "we have terrible customer service."

Rather, your USP should ideally be something your competitors say "no, we don't don't do / have that."

Otherwise, it's extremely easy to counter in a head to head and it makes it hard for the customer to understand why they should buy you instead of someone else.

**Positioning**

Finally, positioning. ***Positioning*** is the choice about which aspect of your product you're going to focus on to add the most value to your target audience. In other words, positioning is about staking a claim to say:

*This is who we are and how we help. If you don't want this, then our product is not for you.*

Of course, this is incredibly scary. You're actively saying "our product is not for this type of customer," and we address this in more detail in the next section on messaging.

For now, though, there are a few things about positioning that are worth calling out now:

1. **Positioning is critical**. You need to actively select what makes you unique.
2. **Positioning often feels like it should be obvious, but it rarely is**. Remember: what gets you excited is probably not the same thing that gets your customers excited.
3. **Positioning is as much about saying what you're not as what you are**. It's tempting to be something for everyone, but that rarely works.
4. **Every product is positioned**. Either it's done by you telling the world

what you are and what you do, or its done by the market, telling you who you are and what you do.

Once you've identified these three core components, you can start to move on to the last step of outlining a value proposition: actually calculating the value to customers of your solution.

# Value: how customers benefit

***Value*** is the dollar amount that customers get back when they buy your product. A simple example might be your product costs $100, and it saves your customer $500. Your value is $400.

Value is usually very dry and mathematical, and is *something that you actually calculate.*[1]

For example, saving people thousands of dollars on lubricant costs per month, or reducing their order processing time by 1 minute.

Even if your product doesn't actually save your customers money it may still save them *theoretical* money—that is, the money that they would otherwise have to spend if they didn't adopt your solution.

### Calculating product value

Calculating value can be complex, but the theory is simple.

First, identify the cost of doing nothing — continuing to live with the pain.

Then, calculate the cost + benefit of solving the problem in a different way. This might be a competitor.

Finally, look at your own product. What's the cost of your product, and what sort of return can your customers expect to get?

Let's say your product is an energy efficient lightbulb for factories. Compared to a regular light bulb (e.g. the cost of doing nothing), it might save your customer $10,000 per year in expenses. Your customer is also looking at other energy-efficient lightbulb providers (your competitors).

Maybe your best competitor can save them $8,000 per year in expenses. If that's the case, your value is $2,000 over and above the next-best alternative.

This table lays all of the cost savings out:

| Cost savings | You | Competition | Difference |
|---|---|---|---|
| Electricity | $10,000 | $8,000 | $2,000 |
| Labor | $5,000 | $6,000 | -$1,000 |
| Oil | $1,000 | $1,000 | $0 |
| TOTAL | $16,000 | $15,000 | $1,000 |

So, you are able to significantly lower their electricity costs, their labor costs, and their oil costs, compared to a regular lightbulb. Compared to doing nothing, the value you add is $16,000. Since you do have some competition, the value you offer compared to your next-best alternative is $1,000.

When it comes to value propositions, you need to look at your value compared to the next-best alternative, since that's how the customer is going to look at it. Your goal is to say "we offer $XXXX of additional value compared to the next best solution to your problem."

Let's look at another example. This is an actual value proposition I worked on for a software product. As the table shows, that value came from three main sources: savings through inventory, savings through automation, and savings through returns.

| | |
|---|---|
| Savings from reduced inventory | $375,000 |

| | |
|---|---|
| Savings from automation | $59,904 |
| Savings from fewer returns | $1,350,000 |
| Product price | $22,360 |

As you can see, the most significant savings was through returns. In fact, it was so much larger than the other two that it really helped us focus our USP and positioning on the problem that we solved really, really well. Since we contributed so much value through reducing returns, that became our core position in the market.

In these two examples, the value comes directly from cost savings.

But remember, there are a few different ways that a company can offer value—cost saving is by no means the only one.

For example, your value proposition might include *incremental profits* rather than just reduced costs. An incremental profit is the value that a customer gains when a product adds to their revenue. (We use the term 'incremental' here because for every dollar your product adds to revenue, it only adds a fraction to profits—so the value here is the incremental profit added).

**Why bother calculating value?**

Many marketers rely on messaging to drive value, focusing on what customers want to hear rather than focusing on where the product adds value.

But as the examples above illustrate, a bit of math can help you to quantify the value that your product creates in your target market. And once you've done that, you'll have an easier time pitching to your target audience.

Let’s say you’re selling software that automates when lights turn on and off in big commercial buildings. How do you sell this to prospects? “Automate your lighting!” “Save time with automatic lights!” “The best lighting software!”

There are many different approaches you could take with these headlines. And chances are that most would miss the mark. That’s because you haven’t actually identified the value that you are creating.

You need to break it down.

How does your software actually help the business? How does it affect the profit equation: Profit = (Price - Cost) * Quantity?

There are a few possibilities for how your software might drive value:

- Because the lights are automatic, that might mean that customers don’t need to hire staff to go around turning lights on and off. That could cut costs.
- The lighting might foster a special mood in the building, or a more pleasant customer experience. This could help boost revenues.
- The lights might spend more time turned off, reducing energy costs.

When marketers do positioning, they often guess at which benefit is most important and build campaigns around that. But a more sophisticated approach is to actually calculate how much value is created from each possible benefit, and run the one that offers the most value.

So, of the three benefits, let’s say that lower energy cost is the one with the most value. Sure, the savings for an individual building might be marginal, but when these costs are scaled across 10 or more buildings, the energy savings are substantial. Now we’re honing in on the main benefit of the value

proposition: lowering the customer’s energy costs. Along the way, we’ve better defined the target customer: companies with 10 or more large stores or buildings. These prospects have substantial energy costs, so cutting expenses becomes more important.

With this information, a company can put the most valuable benefit — in this case, lower electric bills — at the heart of its positioning, making a much stronger case for customers as it goes to market.

## What to do if you can’t calculate value

Math is undoubtedly your friend when it comes to value propositions. But there are a raft of products that provide significant value that can’t be calculated easily. Either the value isn’t monetary at all, or the value is intangible—it’s not something you can easily attach a dollar figure to. This is particularly common for B2C companies.

For example, imagine you were marketing Coca-Cola. Technically, for the customer the dollar value is the calories and enjoyment they’re getting at a low price. But of course, that’s not how Coca-Cola markets itself. Instead, the value it provides its customers is *cool*. It creates and markets an image of what a Coke-drinker is, then sells the drink as the path to achieving the image they’ve created.

So, if a dollar value is not a part of your value proposition, you need to focus on compelling use-cases for your target audience. What is the number 1 most important value that your product brings to the table? And why do they specifically want to access that value that your product brings?

Let’s go back to our Coca-Cola example. If the value they provide is a cool image, then they might tailor that value to specific audiences. For example, if they were targeting grandparents, they might focus on how Coca-Cola can help them connect with their grandkids, because it’s a cool drink. Conversely, if Coca-Cola was targeting teens, they might focus on how Coke can make you popular at school, since that’s probably what cool means to teenagers.

## Your value proposition does not need to be unique

Here’s a final note on value propositions: *they don’t always need to be unique*.

Marketers spend a lot of time trying to figure out their USP. And this is certainly a worthwhile exercise—but you don’t always need to emphasize how unique your product is.

For example, you might be selling something that is a non-strategic purchase, such as plastic screws. Your buyer probably doesn’t care what makes your product unique—they just want something reliable at a reasonable price. In this case, emphasizing uniqueness is a waste of time.

Or, let’s say you’re operating in a brand new, innovative market. Your customers might have zero knowledge of your competitors. In a case like this, there’s no point in emphasizing how you’re different from your competitors. Instead, just focus on communicating how you create value.

## Chapter summary questions

- Does your product create enough value for the customer to be worth buying?
- Have you identified your competitive advantage, positioning, and unique selling proposition?
- Have you calculated the value you add to your customer, and linked it to a specific benefit / feature?
- Have you tied your value calculation to your USP, positioning, and competitive advantage to build a complete and robust value proposition?
- Can the value you create be measured in dollars and cents, or are you bringing a more nebulous concept of value to your customers?
- Have you identified the part of your product that brings the most value?

# PART 3:
# MESSAGING
## *What to say and how to say it*

Messaging is how you tell the world about your product. It answers the question: WHY should I buy this? It bridges the gap between: (1) positioning, where you define what you sell, who you sell it to, and the value they get; and (2) demand generation or advertising, where you tell the world about your product.

If you have a tightly defined audience and a clear value proposition, you're in a good place to develop great messaging. Great messaging:

- Tells your target audience what you do and why they should buy you
- Uses the language your target audience uses
- Surfaces the problem your audience has, and drives action to solve it
- Communicates the value you provide

You want to build a messaging framework that gives you both the flexibility to play in multiple channels and across campaigns, but still stays laser-focused on solving the problem you've defined. Your messaging framework should also work to positively build your brand equity.

One question I get a lot is: "Why bother with all of this? Our sales team knows what to say and who to say it, too!"

It's a good question. Building a messaging framework is time-consuming and can feel a little bit redundant. But the reality is that without a framework,

your messaging will drift off course as you run different campaigns, produce different pieces of content, and hire new sales reps for your growing go to market team. To keep your product and your company moving in lock-step towards your objective, you need to keep everyone on message, all the time. And a messaging framework is the best tool to do that.

The process I outline for building a messaging framework in this chapter is based on the Pragmatic Marketing Framework and the positioning book *Obviously Awesome* by April Dunford. I've used it to build messaging frameworks for complex B2B products, and it works wonders for keeping your messaging focused.

In what follows, we're going to walk through the 6 steps you need to go through to build a great messaging framework.

Once we have those 6 steps down pat, the rest of the chapter will focus on copywriting. This is the other side of the messaging coin: If your messaging framework helps you to work out *what to say*, copywriting is all about figuring out *how to say it*. The copywriting section of the chapter offers a few essential rules of thumb that will help you communicate effectively with your target audience.

# Building your marketing framework

Building a messaging framework can seem like a mammoth task. But it can effectively be broken down into 6 manageable steps:

1. Find the features your audience cares about
2. Find the advantage of your selected features
3. Link your advantages to value
4. Group the benefits you offer by themes
5. Map values to personas and build use cases
6. Build the framework

In this section, we take a deep dive into each of these steps, looking at why they matter and how to execute them effectively.

### 1. Find the features your audience cares about

Your product has dozens of features. You need to list them all out, then select the ones your audience cares about.

For instance, say you sell TVs. Your product has lots of features, including:

- A black stand
- A power cord
- Plug and play software
- A remote
- 4K resolution

Of these features, it’s pretty clear that the 4K resolution is the feature that the target audience is going to care about. Having a remote probably isn’t going to convince anyone to buy.

At the end of this step, you should have a refined features list of things your product does *that your audience actually cares about*. There are a few ways to get this information:

- Talk to your existing customers (if any) about what features they love about your product or competing products.
- Review old support logs or call transcripts. Are there consistent requests to address a problem that your new product solves?
- Talk to your product owners. Why did they recommend building a feature in the first place?

**2. Find the advantages of your selected features**

Now that you have your features, you need to define their advantages. An advantage is why you included a specific feature. It's the positive outcome that your feature creates.

If we go back to our TV example, the advantage of 4K resolution is crystal clear picture quality. Advantages should be relatively easy to come up with, since you presumably built the product in a specific way for a specific reason.

**3. Link your advantages to value**

People don't buy features or advantages, they buy the value, or benefit, that they get from your product. Value is the "so what" of your product features and advantages, and if you can clearly communicate the value of your product—and do it in the language of your target audience—you're legions ahead of most go to market teams.

Most messaging stops at advantages. That's because linking your features to value and benefits is extremely challenging. It requires deep customer knowledge, as well as empathy to understand what they're struggling with.

What makes this doubly challenging for go to market teams is that they know the product so well—and when we know a product, we're generally very good at describing what it is and what it does, but not so good at describing why someone should care. It's so ingrained in us that it's hard to put into words. We lose the forest through the trees.

The result is that most teams go to market with features and advantages, and make the consumer create the value themselves. But it doesn't need to be this way. By forcing yourself to clearly delineate between advantages and value, you can chip away at your product to get to the core reason that someone would buy it. So how do you make this important distinction between advantages and value?

The best way to move from advantages to benefits is to look at each advantage and ask, "So what? Why does our audience care about this?"

Let's go back to our TV example. The feature is 4K resolution. The advantage is crystal clear resolution. So what? Why should I care about the resolution? Well, the benefit is that you'll feel transported to whatever you're seeing on the screen.

For some products—particularly heavily commoditized products with lots of competition—you might be able to rely on your audience to convert the advantage into a benefit themselves. That's why we often see ads for consumer tech products like headphones, cameras, and TVs that simply spout features as though they're clear advantages. For instance, a TV ad might just say "4K resolution in your living room," or a camera ad might just say "the new iPhone has a 12MP camera!" These products don't have to explain the "so what" because consumers have enough context that they already know.

However, relying on this is a dangerous game:

- It makes it harder to differentiate your product as competitors copy your feature and advantages, so it can leave you vulnerable to alternative providers
- Your audience might only translate your features and advantages in one specific way, whereas you might be able to think of more (and more compelling) value

One of the best ways to get from advantages to value is to talk to your target audience. Listen for what they complain about, don't like, or struggle with. What do they wish was different in their professional or personal lives, and where do those wants overlap with your solution? These sorts of discussions can give you the insight you need to get to your product's "so what's."

At the end of this stage, you should have a table that looks like this:

| Feature<br><br>What does the product do? | Advantages<br><br>What's the advantage for our target audience? | Value ("so what?")<br><br>So what? Why does our audience care? |
|---|---|---|
| | | |

**4. Group the benefits you offer by theme**

As you build out your benefits, You'll likely see some themes emerge. That is, multiple advantages and features usually lead to similar benefits, or benefits tie together neatly into a package.

Therefore, the next step is focused on codifying lots and lots of values into a few major buckets. As you begin to go to market, you'll see which segments of your audience respond best to which theme, and can tailor your campaigns

accordingly.

### 5. Map values to personas and build use cases

You need to map everything you've done to your target personas (if you didn't build target personas, simply map them to the relevant people in your buying committee — the group of titles usually involved in your deals).

Take your themes and see where they fit most effectively. Naturally, this matching will change as you go to market and learn what's working and what isn't, but it's good to have a starting point.

It's also valuable to create use cases that map to your personas. If you know the value you deliver, how is the use case of that value different for different personas?

Take our TV again. The value is that it transports you to whatever you're seeing on the screen. That's a great start, but it's pretty generic.

To make it more compelling, you can tailor it to personas with use cases for each one. For instance, if a segment you're targeting is sports fans, the use case might be "transport yourself to the big game".

It's essentially the same value, it's just reframed to suit the audience.

### 6. Build the framework

Your final step is to put all of this in a framework, which you can use to understand what you say, why you say it, and to whom.

It's also helpful at this stage to create short summaries of your product. I like a 1-sentence summary, a 2-sentence summary, and a 5-sentence summary.

These summaries are surprisingly useful, both as an exercise to condense all the work you've done down into something very small, but also as an asset to have on hand. They always come in handy: reps can draw on them when they're practicing their elevator pitch; you can drop them into bios of executives if you're featured in the news; and they can even act as a functional anchor to keep discussions about your messaging tight.

At the end, you'll have a framework that looks a little bit like this:

| | | | |
|---|---|---|---|
| **The audience**<br>Who are you targeting? Who loves your product? | | | |
| **1-sentence summary**<br>The value of the product in 1 sentence. | | | |
| **2-sentence summary**<br>The value of the product in 2-3 sentences. | | | |
| **5-sentence summary**<br>A short paragraph explaining the product and how it helps your target audience solve their specific problems. | | | |
| | **Values theme 1** | **Values theme 2** | **Values theme 3** |
| **Persona 1** | Use case | Use case | Use case |
| | Benefit | Benefit | Benefit |
| | Advantages | Advantages | Advantages |
| | Relevant features | Relevant features | Relevant features |
| **Persona 2** | Use case | Use case | Use case |
| | Benefit | Benefit | Benefit |
| | Advantages | Advantages | Advantages |
| | Relevant features | Relevant features | Relevant features |
| | Use case | Use case | Use case |
| | | | |

| | | | |
|---|---|---|---|
| **Persona 3** | Benefit | Benefit | Benefit |
| | Advantages | Advantages | Advantages |
| | Relevant features | Relevant features | Relevant features |

You might be thinking that this is a lot of work to end up where you already are. But building your messaging framework—and putting it down on paper in this concrete way—is critical. It not only makes your messaging a lot easier for other internal teams to consume and understand; it also forces you to confront your thinking about why a specific benefit is important, and what feature-set best tells the story of that benefit.

It's also worth noting that although you'll *build* your framework from features down to use cases, your framework should *operate* in the opposite direction. So when you put your framework into practice, you should be focusing on the granular, specific value that you bring to your customers first, before diving into how you do it (advantages) and what you actually sell (features).

Once this final step is complete, you're ready to tackle copywriting. Your messaging framework has successfully set out *what to say*. Now, it's time to figure out *how to say it*. That's where copywriting comes in.

# Copywriting

It’s impossible to talk about messaging without talking about copywriting. Copywriting is how your messaging makes its way out into the world.

Of all the parts of go to market strategy, copywriting is probably the most misunderstood. Often, when people hear copywriting, they imagine Don Draper dreaming up slogans like “It’s toasted!” on the spot for clients. They picture creative agencies coming up with things like “Got Milk?” or “Wazzzzup” or “Because you’re worth it.”

In reality though, copywriting is about ***communicating the value of your product, to your audience, as clearly as possible in a way that compels action.***

It might be super creative and innovative...but it also might not. Often, effective copywriting is really straightforward.

Here are five rules of thumb to help you as you communicate with your target audience.

### 1. Speak directly to the buyer—and do it conversationally

Some of the strongest words in copywriting are words like “you” and “your.” You want to speak directly to the buyer as you would in a one-on-one conversation, and you want to do it in language that they use everyday.

To achieve this, try to follow these four guidelines:

1. **Use a conversational tone.** This means avoiding academic, professional speech that is overly formal or grammatically correct. For example, writing “such as” might be grammatically correct when

you're about to list some examples, but in reality, most people would simply say "like." Generally, the best copywriting has a more informal, conversational ring to it.

2. **Write in the second person, as though you are speaking directly to the buyer.** For example, "Automate your accounting," is better than "Automation for accounting." It's more personal, it speaks more directly to the audience, and it's also more compelling and directive. You're telling your audience what they, specifically, will be able to do once they buy your awesome product.

3. **Write in the present tense.** This takes the abstract future benefit and makes it seem more tangible. For example, "Get a girlfriend" is better than "You will get a girlfriend" or "You will have a girlfriend." Note here the use of the imperative mood—writing in a way that commands or requests.

4. **Write in the active tense.** Technically, this means that the subject performs the action of the verb in a sentence, rather than the subject being acted upon by the verb. For those of you who aren't active members of the grammar police, this basically means that your writing is going to have a lot more impact. For example, "Get 10% off" has a lot more power than "10% off will be had by you."

One of the easiest rules of thumb is this: avoid the words "be" and "by" in your copywriting. It won't work all the time, but it'll help a lot.

**2. Witty, brief headlines usually aren't effective—keep it straightforward**

ads that try to be clever are rarely effective. Most of the time, it's better to go with a more direct headline that communicates how your product creates

value.

There are a huge number of meaningless headlines out there that try to be brief or clever. You know the ones—maybe there's a period after each and every word, or some abstract joke posted on a billboard. But here's the thing that you've probably noticed: these ads don't usually drive you toward a desired action. At best, they give you a chuckle and make you feel warm and fuzzy about the brand behind them.

In general, it's better to just get to the core of how your product creates value. You can do this by focusing on the outcomes that the customer wants. For example, "Double your income in one year," or "Save $10,000 in energy costs." These headlines communicate the value achieved from whatever it is that you're selling.

When it comes to writing headlines, another thing we advise is to write in the sentence case. That is, capitalizing only the first word of the headline and proper nouns. This lets you write longer, clearer headlines. And it'll help you avoid short, witty, and confusing ones.

### 3. Cheesy, salesy writing works

At the tactical level, I think most of us have lost the art of salesy copywriting. Over the past few decades, it seems marketers have fallen into the habit of producing copywriting that reads well and is even a bit formal, at the expense of salesmanship. But the truth is, cheesy salesy writing works better.

John Caples proves the effectiveness of this style in his books *Making Ads Pay* and *Tested Advertising Methods*. The modern demand generation guru Howard Sewell also demonstrates this in his article "But Wait, There's More! Why Cheesy Copy Still Works."

So what kind of writing is effective?

- Phrases like “But wait, there’s more!”
- Use of the ellipsis instead of proper sentences so that the reader is encouraged to keep reading…
- Short, punchy sentences.
- Incorporation of enthusiasm (many writers seem to lack enthusiasm in their writing).
- Promising quick results.
- Phrases like “announcing,” “introducing,” “new,” and “free.”
- Making specific promises such as “You will make $100,000.”

**Remember**: these phrases will be different depending on what you’re selling. Being salesy only works if your salesy offer is something that your audience wants.

### 4. Stay on brand

Staying on brand means using language that is consistent with the brand—and this is one of the most important considerations in effective copywriting.

Many companies will have a brand guide. But if not, you may need to make one from scratch in order to keep your copywriting on brand and on message. The brand guide should outline what kind of personality your brand has, and it may even go into detail about the specific type of copywriting that you should be trying to execute.

Here’s an example where brand compliance is important. This is an ad for Metromile. Notice the funny poetry in the beginning and the use of the word “Ta-da.” This is a very casual and friendly brand. It sounds as though Metromile wants to be your friend.

Roses are red.
Pay-per-mile
car insurance
could cut your bill in half.
Ta-da.
metromile
Pay-per-mile car insurance

*Reference: u/cawatoons on Reddit*

If you were writing messages for this brand, you'd want to be consistent and use this chummy language. This is important because consistency will help to build a strong brand position in your customer's minds. Inconsistency, on the other hand, dilutes your brand positioning.

Brand guides can get much more specific than this. They might even include some complete phrases that you can pull. Each feature might have key bullet points that have already been vetted by copywriters or executives in your company.

**5. Be persuasive**

We can't overstate how important this is. Think back to our definition earlier: ***copywriting is communicating the value of your product, to your audience, as clearly as possible in a way that compels action.***

That last piece—compels action—is key, but it often gets forgotten. Copywriting is fundamentally about changing behaviour. That could be persuading prospects to buy a product, use a feature, click a button, believe in your company, or to take some sort of action.

The thought leader on persuasion is the professor Robert Cialdini, who is famous for his book *Influence*. These are his key drivers of persuasion:

- **Scarcity**. People are motivated to take action if they believe something is scarce. For example, using the phrase "Three days left!" persuades people to act because whatever you're offering is only available for three days. If it were available all the time, there's no sense of urgency. People prioritize things that are time-sensitive. People don't like missing out.

- **Consensus**. People are motivated to do things if they believe other people are doing that same thing. Social proof is an incredibly strong persuasive tactic. A good example of this is “90% of people prefer.” If 90% of people prefer this option, then the user will likely choose that action. Some people are non-conformists, of course, but the vast majority of people rely on consensus or social proof to make decisions. This is particularly true in situations where the user isn’t informed enough to make a decision on his or her own.

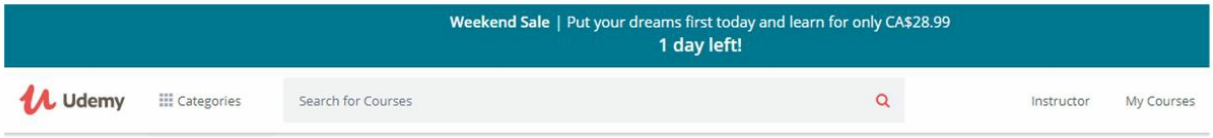
- **Authority**. People are persuaded if someone in a position of authority tells them to do something. Using phrases such as “Dr. Joe Stephens” or “the expert in this field” will persuade people.

- **Reciprocity** is also an important consideration. As humans, we have a compulsion to reciprocate when we are given something. Giving people something for free could motivate people to take action in return.

- **Consistency**. People want to be consistent. If they told you something in the past, they want their future actions to be consistent with what they said. You could remind people of what they did in the past by using phrases such as “Since you enjoyed…” This may prompt people to buy something or take an action consistent with past actions.

- **Lastly, people are persuaded by things they like**. Using cheesy phrases such as “You are awesome!” can give your product more persuasive power. User experiences with this type of language can be particularly pleasant. Flattery is a powerful tool for building your brand personality and giving your brand product persuasive power.

This example of Udemy's messaging helps illustrate some of the major copywriting rules of thumb that we've covered in this chapter section.




Let's start with **persuasion.** Udemy is really emphasizing a sense of urgency by using *scarcity*. "1 day left!" "Weekend Sale," "Put your dreams first *today*." They're not drawing on other persuasion tactics like *consensus* or *authority*, but there are hints of *liking* here. "Put your dreams first," for example. People tend to like it when conversations centre around them. And the *your* is also important here. Personalization itself is a useful tool for persuasion. This messaging also highlights an important point: not every message you write needs to use every tactic at once—but good messaging will usually use at least one.

The copywriting here is also **direct.** It tells the buyer exactly what they should do (put their dreams first by taking advantage of Udemy's sale) and how they'll benefit, and it uses all the right grammatical conventions to drive that action: it's written in the second person and it uses the present and active tenses. It's also fairly **conversational**. None of the language is complex or academic. It reflects how Udemy's customers actually speak.

And finally, the headline is **straightforward and it avoids the temptation to be witty or clever.** Notice how they've broken the message down into two parts ("Weekend Sale" and "Put your dreams first today and learn for only $28.99). The first part is short, sweet, and to the point. The second is longer and more involved—and it's written as a full sentence. Using a full

sentence here lets them write a longer, clearer, and ultimately more informative message.

## Chapter summary questions

- Have you defined your feature set, linked your features to advantages, connected those advantages to your value and benefits, and grouped similar value / benefits together?
- Have you built a messaging framework to be used across your go to market team?
- Have you zeroed in on your copywriting and messaging to make sure the go to market team is telling the right story in the right way?

# PART 4:
# GO TO MARKET TEAM
## *Who needs to get involved?*

Going to market is a team sport. There might technically be a go to market "owner" (and in smaller organizations, this might even be the CEO). But ultimately, it's a collaborative effort.

Generally, go to market teams are made up of everyone who touches the customer throughout the customer lifecycle: sales, marketing, and customer success or support.

This chapter dives into the details of the HOW of going to market—with a special emphasis on the go to market team and their various roles and responsibilities. The chapter is divided into three sections, each focusing on a particular segment of the go to market team. We focus on explaining the role of:

1. Marketing, product marketing, and demand gen
2. Sales in high- and low-ACV settings
3. Customer success

# Marketing

Marketing often leads the go to market strategy because they have so much influence early on (as you might have noticed, marketing covers most of the stages of go to market strategy that we've covered so far). Marketing teams are also well-positioned to lead the go to market strategy because they connect product, sales, and customer success.

When it comes to go to market, marketing's role is divided into two large branches:

### Product marketing

Product marketing's role is to do everything we've outlined so far: define the audience, identify the market, define the value proposition, create the messaging, and outline the channel mix.

Oftentimes, product marketing is heavily involved in both internal and customer facing content, including:

- Research papers, blog posts, and webinars
- Battlecards, sales wikis, and persona documents
- Case studies

### Demand generation

The role of demand generation is to further define the channel mix, execute the actual marketing campaigns, and iterate and test to drive down the cost of acquiring customers.

Each of these functions can also cover additional areas of expertise, including:

- Field marketing
- Brand marketing
- Content marketing
- Digital marketing

In smaller organizations, these functions are often all run by one or two people, with product marketing taking on content and brand, and demand gen taking on digital and field marketing.

# Sales

Sales is responsible for one thing: closing business. This function is so critical that most organizations go to extreme lengths to keep their sales teams motivated and laser-focused on that and only that.

How you approach sales with your go to market team depends on your average contract value (ACV). Why? Because sales means headcount—the most expensive part of any go to market strategy.

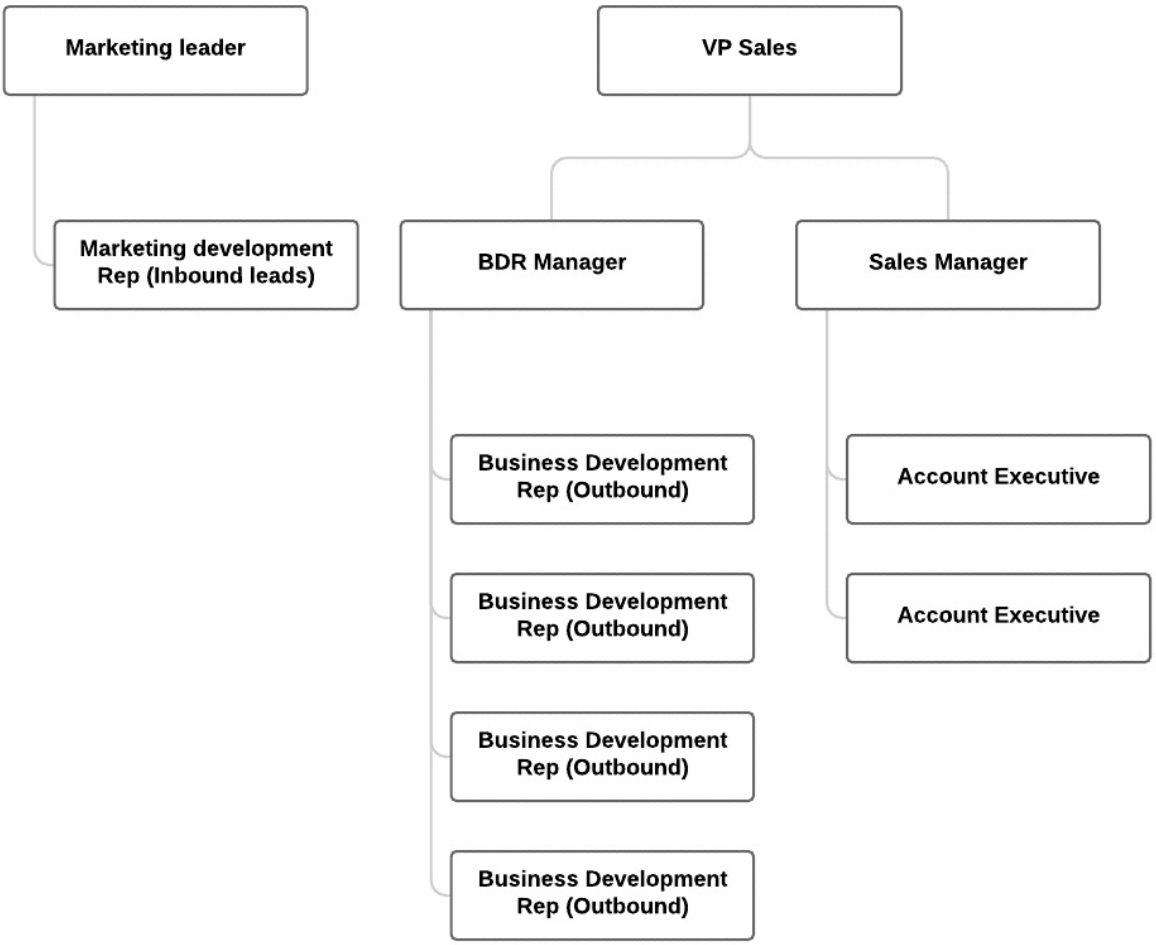
That means that you need to be selling something that's valuable enough to justify a sales person and their salary (plus make the commission worth their time).

For instance, say you're selling cell phone cases online for $3.99 each. That value isn't high enough to justify a sales team. Conversely, if you're selling construction equipment for $10 million, then it's definitely worth the sales person's salary.

Generally speaking, B2B sales is worth having that high-touch, 1:1 sales experience because the ACV tends to be higher. On the other hand, B2C gravitates towards low-touch, transactional, hands-off sales.

### High ACV sales (B2B)

High-ACV sales teams going to market are structured like this:




- *Marketing development reps* are responsible for responding to inbound leads. These teams increasingly report into marketing rather than Sales.
- *Business development reps* are responsible for outbound prospecting, and booking meetings for account executives to close business.
- *Account executives* are responsible for handling the meetings that inbound and outbound reps book and taking customers from an initial meeting to a closed deal. Account executives might be field reps, on the road and visiting customers in person, or part of an inside sales

teams.

When you're building your go to market strategy, you need to carefully consider how many reps you're going to need and in what roles to achieve your specific business goals. This goes for large and small organizations, because at a small one or a startup, you're deciding how many bodies to hire, and at large ones you're deciding how many bodies to dedicate to the product. In both cases, you're committing significant resources, which means that you need to think carefully about how you're going to achieve a positive ROI.

**Sales operations**

There is one more critical sales function that you need to go to market—sales operations. For any business, the key to successful got to market execution is twofold:

1. Finding opportunity for growth in your organization's data (or the market if you're a start up)
2. Understanding and adapting your tactics / strategy on the fly in response to early indicators you see in sales data as it rolls in

For instance, say you're selling bulldozers to mid-sized manufacturing firms. Your sales cycles might be 12 months long. But you don't want to find out a year down the line to find out your positioning is all wrong, or your messaging isn't resonating. You need to be tracking data along the way to optimize your conversion rate at every step of the sales cycle.

And, because sales teams are the bleeding edge of customer interactions, they're the ones that actually gather the data that other departments and use it to make decisions.

Which means you need a clear sales process before you go to market so that you can track performance over time and see if your go to market initiative is on track to achieve your overall goal.

It’s often worth hiring (or getting a freelancer) to help you set up your go to market sales process and make sure you’re capturing the data you need as prospects go through the buying process.

**Low-ACV sales (B2C)**

Sales teams usually play a much smaller role in B2C organizations (or B2B organization selling to small businesses) because the average contract value is low. Instead, the final point-to-point sale is executed through a different, transactional mechanism. This can be through a channel / distribution partner (e.g. if your product is stocked in a store or sold on Amazon), through an ecommerce store that you control, or in your own store.

## Customer success

The final major component of the go to market team is customer success. This is the team that guides customers from when they sign a contract, through implementation, and on to continuing success. For software as a service (SaaS) businesses who rely on customers renewing to achieve profitability, customer success is critical because they're responsible for keeping the customers that sales closes.

In addition to their implementation and support responsibilities, customer success is increasingly responsible for renewals, upsells, and cross-sells, primarily because upsells and cross-sells are fantastic for a business. Upsells and cross-sells:

- Ingrain your company into the lives of your customers, decreasing customer churn
- Increase the customer value as they purchase more product

Most importantly though, you've already spent a big chunk of time and resources to acquire them. The more value you can extract from them, the better your return on investment.

And if you include customer success on the go to market team, then you can strategically acquire customers who will grow into high-value accounts over time. Customer success can drive profitability because:

1. **Word of mouth only happens if you have happy customers**. And since word of mouth has proven again and again to be the most cost-effective marketing channel, ignoring it is literally leaving money on the table. Word of mouth is especially important if you're a small or

unknown brand / startup, when every customer is critical to your overall success.

2. **Customer acquisition costs are too high to not retain**. For subscription, freemium, and “try before you buy” products in particular, retention is critical to the economics of your organization. You need to keep your churn rate low. But even for companies selling one-off products, it’s far less expensive to keep a customer than acquire a new one.

3. **Upsell / cross-sells rely on happy customers**. You’re not going to buy more of something if the organization you purchased from sucks. In order to drive high-margin cross-sell and upsells (high margin since you’ve already paid to acquire the customer), you need to have happy customers, which means investing significantly in support and customer success.

## Churn and retention

One of the core metrics for customer success is churn, especially for subscription services that rely on customer retention to grow.

Churn rate can be calculated two ways: revenue churn is the percent of your revenue you’ve kept over a specific time period.

For example, if you had $100,000 of monthly recurring revenue (MRR) in January and $80,000 of MRR in February, your churn rate would be:

$$Churn = \frac{(\$100{,}000 - \$80{,}000)}{\$100{,}000} = 20\%$$

Basically, 20% of your monthly recurring revenue from last month isn’t

going to recur this month since it left. You can do the same calculation on an annual basis for annual recurring revenue (ARR).

The second kind of churn is *customer churn*, or *logo churn*. This is the same calculation, but instead of taking the revenue value, you count the number of customers. So, if we go back to our example from earlier, that $100,000 in revenue might be 100 customers, and 10 customers left. Your logo churn would be:

$$Logo\ churn = \frac{(100 - 90)}{100} = 10\%$$

Churn is important to know because every dollar you churn out is a dollar of new business you need to go and find. If your churn gets too high, it becomes incredibly difficult to grow.

You can also use churn to help with your segmentation. Here's an example:

| Segment | A | B |
|---|---|---|
| Churn rate (unsubscribers per month) | 3% | 6% |

Here you can see that segment B has a higher churn rate, with 6% of subscribers abandoning the service each month. It could be that segment B is just not an ideal target customer group, or it could be that you need to make some tweaks to keep them happy and keep them coming back. Data can't really tell you what to do. It needs to be interpreted in the context of your overall company vision to decide which action to take. The solution here is not obvious at all. All we know is that group B is more likely to unsubscribe than is group A.

**Customer lifetime value (LTV)**

Closely related to churn is customer lifetime value, or LTV. *Customer lifetime value* is a measure of how valuable a customer is to your company. It's actually somewhat complicated to calculate, so I'm going to start with a simplified approach.

| Year | 1 | 2 | 3 | 4 |
|---|---|---|---|---|
| Profit | $1 | $2 | $2 | $0 |

This table shows the profit coming from a particular customer in each year since he became a customer. You can see that he stopped becoming a customer in year 4—hence, the $0 in profit—so the lifetime of the customer is 3 years. The lifetime value can be calculated by adding up the profit for those three years: $1 + $2 + $2 = $5.

The customer lifetime value is thus $5.

This is a simple formula. A more sophisticated method touches on the world of finance. This more elaborate formula accounts for churn rates, the cost of customer acquisition, and something called the discount rate. Let me explain. In years 2 and 3, you can see that profit was $2. But because of the time-value of money, money today is worth more than money tomorrow, so that $2 in year 2 is actually worth more than $2 in year 3. That's because $2 in year 2 could have been invested and appreciated for an entire year. But there are other factors here besides the time of value. There's also risk and uncertainty associated with future profits that don't apply to the present.

Lifetime value is easier to calculate if your company relies heavily on customer-relationship management software or CRM. If your company doesn't use CRM, then you may need to estimate lifetime value based on

sampling customers through market research.

What you may discover is that some of your customers are actually losing you money. You should try your best as a marketer to avoid these types of customers. If they abandon you, do not send them discounts or offers to return. Try to focus your communications on the most profitable segments.

Closely connected to lifetime value are these other metrics:

- **ARPU**: Average revenue per user. Be careful with this metric because averages can be deceiving. Often the bulk of your revenue comes from a tiny group of people. In that case, an average would be a misleading figure.
- **ARPPU**: Average revenue per paying user. In some markets such as free-to-play gaming, the bulk of people may pay nothing. That's why the average revenue per paying user may be more meaningful.

The reason we're talking about these metrics here is that they're incredibly important for customer success. At the very least, customer success (as part of the go to market team) has the responsibility of reducing or eliminating churn. Increasingly, they're also responsible for growing accounts, increasing ARPU, ARPPU, and LTV. If you're relying heavily on expansion to reach your goals, you need to watch these metrics like a hawk.

## Assembling your team

For a B2B company to deliver a cohesive go to market strategy, they need to have marketing, sales, and customer success in place.

Marketing is needed to identify the market opportunity that the go to market team is going to exploit. Basically, they answer the question: where are we going to market and with what? For the most part, the task of answering this question is owned by product marketing. But marketing is also needed to inform and convince people to buy (in a low-ACV environment) or talk to sales (in a high-ACV environment). This task is owned by demand generation.

Sales is needed to turn leads into closed business. Essentially, sales is responsible for actually taking the product or service and getting it into the hands of customers.

And customer success is needed to delight customers so they stick around for a long time. Customer success also needs to keep customers happy so that they can be upsold more of the same—or cross-sold additional products—while also telling the world how great you are.

Once these three parts are in place, you have what Jim Collins, in his book *Good to Great*, has called the flywheel. Essentially, marketing acquires customers, sales closes them, and customer success delights them...which in turn drives acquisition, sales, and delight, onwards and onwards as you take over your chosen marketplace.

## Chapter summary questions

- Have you assembled your complete go to market team, including marketing, sales, and customer success?
- Are clear roles, expectations, and SLAs defined across the go to market team?
- Have you calculated LTV and churn and linked both figures back to your overall business goal so you know the benchmark values for both?

# PART 5:
# DEMAND GENERATION

*How to build demand for your product*

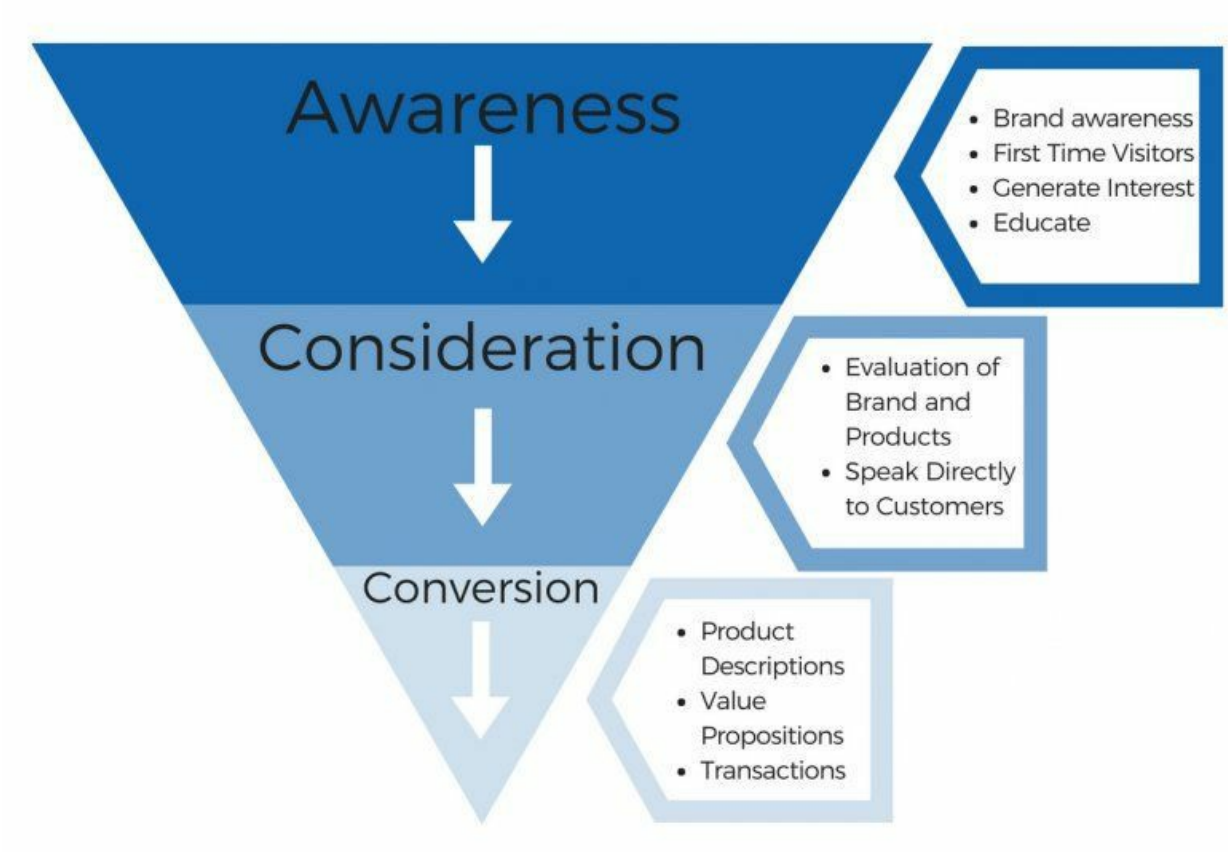
Demand generation is all about getting the right people to put up their hands and say “I’d like to talk to a salesperson about your product / service.” Essentially, it’s the WHERE of go to market.

Demand generation is especially critical in the B2B world, where (a) every deal is worth more (and you can therefore spend a lot more money acquiring each customer) and (b) buying is a long, drawn out, and collaborative process involving lots of moving parts and different people. This chapter will:

- Cover the demand generation process, theory, and stages
- Walk through an example demand generation campaign
- Identify the most common demand gen tactics
- Demonstrate a full demand gen channel mix

# The demand-generation process

The demand generation process is moving from someone who doesn't know who you are to the point they're ready to evaluate your solution. If you think of this conceptually, it looks like a funnel:




*Reference: [SEMrush]*

**Awareness**

Awareness is the stage when customers don't know who you are or what you do. They need to be educated and made aware of your brand. The goal here is to be helpful. Help them learn things that are interesting. Help them solve a problem they have, even if they don't use your tool to do it. Common tactics

and channels here include blogging and SEO, and brand awareness campaigns where the focus is simply to get your name in front of target customers. Out of home campaigns, TV ads, influencer marketing, and impression-based social media ads can all play in this arena.

### Consideration

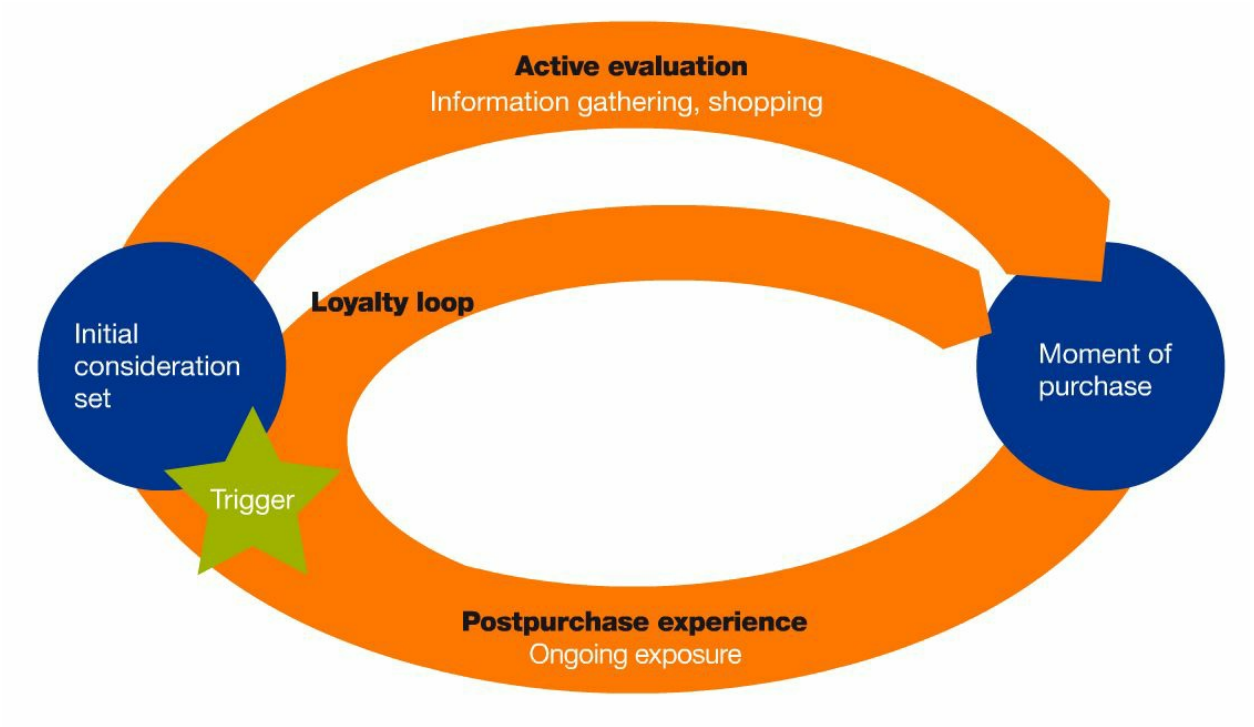
Consideration is when they're looking at different vendors, and are considering you as a potential solution. They know who you are, they know the problem they need to solve, and they're considering if you can do it. The goal here will depend a lot on your sales process. For some businesses, this is when you put them in touch with a sales team. For other organizations, this is when you continue to promote content, but content that requires a bigger time commitment from your prospects (e.g. webinars, white papers, recorded demos).

### Evaluation

Evaluation / conversion is when prospective customers are looking at your specific solution, and are evaluating you in a lot more detail. This is when you're best positioned to talk about yourself. If it's a transactional business, this is when the purchase happens. Key assets include product and pricing pages, free trials, and ecommerce purchasing. For larger, more complex products, prospects at this stage are typically "handed off" and enter the sales cycle.

### Alternative model

Another framework for modeling the customer decision journey is presented below from McKinsey & Co:

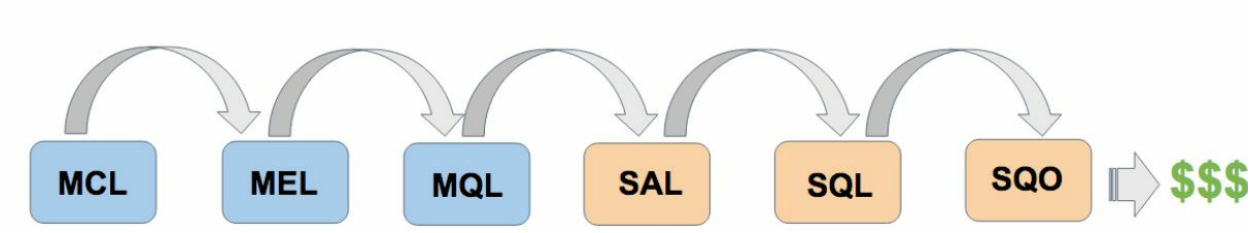



Here you can see the importance of trigger events that start the buying process. This might include events such as changing accounting software, expanding to a new store, getting a divorce, or moving.

# Demand generation ≠ lead generation

One of the biggest problems with demand generation is that everybody talks about how they need more leads…

… but no one knows what a “lead” actually is. I don’t even like to use the word ‘leads’ because there are too many vastly different types. Here is a proven process with various types of leads:




*Reference: Saasmql.com*

**Awareness**

- MCL = marketing captured lead. These may be cold leads acquired from a purchased list or compiled by your team.
- MEL = marketing engaged lead. These are leads that have some soft engagement with you such as filling out a form to acquire a white paper or webinar, or visiting a booth at a trade show.

**Consideration**

- MQL = marketing qualified lead. These are usually leads that have responded to a “high-bar” offer such as a demo, consultation, or price quote. Sometimes MQLs are just leads that accumulated enough lead scoring points that they are handed to Sales, even if they haven’t actually requested an offer that would in and of itself qualify them to

speak to Sales.

**Evaluation**

- SAL = sales accepted lead. These are leads that have been handed to Sales that are accepted rather than rejected and are being followed-up by Sales.
- SQL = sales qualified lead. These are leads that engage with Sales.
- SQO = sales qualified opportunity. These are leads that are candidates for buying your products within a reasonable time frame and have potential revenue (pipeline) associated with them.

## The non-linear demand process

Demand generation has received a lot of flack in recent years, primarily because the above model rarely reflects how a person discovers a product and decides to buy from them. For instance, say you're selling B2B software. Someone might not be aware of your product, but see your listing on a review website. They'd jump immediately to consideration.

Likewise, intent channels like Google Ads mean that leads can enter your funnel at any stage. While this has always been the case (after all, a sales rep can always call someone who says "actually yes, I'm evaluating solutions right now!") it now happens a lot more often. The funnel is still worthwhile, and if you're tracking efficiently, you can use it to see where you need to refine your go to market strategy.

Remember: your funnel doesn't represent the journey every lead takes to become a customer.

## Demand gen campaign example

Let’s put what we just covered into practice. Here’s how a demand gen campaign might unfold.

**Step 1: Buy a list of prospects.**

Once you know what kind of customers you want, you can go and buy a list of 10,000-20,000 people who fit your target. There are lots of list brokers and suppliers out there, but try to find someone who can you the most specialized list for your market. Also consider testing a few sample lists from different suppliers. I’ve had a lot of difficulty with suppliers providing very poor quality lists and being very late with deliveries. So the earlier you can get on top of this, the better.

It’s worth thinking about how you want to filter your list as well. For B2C products, demographics are almost always the starting point (e.g. men, 25-34 years old who make over $75,000 a year). For B2B companies, the starting point is usually firmographics followed by job title.

But those are only to start. There are infinite ways to slice and dice your prospects to get the customer you want.

For B2C, you might segment by location, previous purchases, interests, habits, brands they follow, or social platform activity.

For B2B, you might segment by company growth, department growth, number of locations, what technology they currently use, team size, or company age. The point is, the finer you can tune your filters when you’re purchasing contacts to match your ideal customer, the better off you’re going to be.

Note: It’s best to write a white paper that aligns well with the problem your product solves or the aspiration your product helps make a reality.

**Step 2: Write a white paper.**

This should be something educational that addresses a pain or aspiration of your target customers, for example, “10 Tips for Generating $5M Selling Clothing Online.” You can create the white paper in a Google Slide and simply export as a PDF. You could also create it in a Google Doc, InDesign, or any number of programs.

**Step 3: Advertise the white paper on Facebook and LinkedIn.**

Prospects should have to enter, at the very least, their email address in order to get access to the white paper. The reason we are advertising the white paper is because it’s a good top-of-funnel offer. Other offers such as “request a demo” or “get a consultation” are bottom-of-funnel offers that don’t perform well when promoted to cold leads.

Remember: you are advertising the white paper, not your company and not your product. An important concept in demand generation is that you want to promote the offer itself (and the benefits of the offer) rather than your company or product. In this case, the offer is the white paper.

**Step 4: Promote the white paper through content syndication.**

Promote your white paper far and wide using content syndication. You could, for example, pay the firm PureB2B for each white paper download. Not only will they promote your paper to your target customers, but they’ll also identify the subset of people who are ready to buy.

**Step 5: Nurture the people who download the white paper.**

Add the people who download your white paper into an email sequence in a program such as Outreach. For example:

- Email 1: “I saw you downloaded the whitepaper “Title Name,” so I thought you might like this video on “topic name.”
- Email 2: “Here are a few tips to achieve x…”
- Email 3: “Here’s a video of someone who achieved what you want to achieve.”
- Email 4:” I can teach you how to achieve x. Are you interested in learning more?”
- Email 5: “I can show you the fastest, simplest way to make this pain go away. Book a demo with me, and I’ll show you how.”

At the end of this campaign, you should have generated some marketing qualified leads that sales can convert into opportunities, and then into won deals.

The key is to evaluate the total cost for the number and value of opportunities created, then revenue generated, then decide two things:

1. Was the ROI on this campaign positive? Basically, did you get more money out than you put in?
2. Was this the best use of marketing dollars? This question often goes un-asked, but every single dollar spent on marketing has an opportunity cost of a campaign you didn’t run. Therefore, even if a campaign has a positive ROI, there might have been a better allocation of resources.

# 7 Common demand gen tactics

Now that we have an idea of the basics of demand gen, let's look at the most common tactics you're like to use as you launch your new product. It's relatively easy even for a small team to use all these tactics, and as we'll see when we turn our attention to the marketing mix, using multiple tactics is usually the most effective campaign strategy.

### 1. Acquire leads / customers through Google and Bing ads

Google and Bing ads are particularly effective at acquiring leads quickly because they're intent-focused channels. That is, you can bid on keywords that people are searching for when they have the intent to purchase. The disadvantage is that, in the long-run, pay-per-click ads aren't as cost-effective as other tactics such as content marketing. That's because the payoff from pay-per-click ads is generally linear, as indicated by the term "pay per click." In contrast, content marketing, PR, and branding generate economies of scale over time.

Another key advantage of search ads is that they can target people at the bottom of the funnel—i.e., those who have a high purchase intent and are willing to talk to a sales person. You do this by targeting specific keywords tied to your solution, such as:

- How do I integrate X with Y?
- Best software for X?
- Buy X

What this means is that search engine advertising can quickly move the needle on pipeline and sales in ways that other marketing (such as white

papers) cannot.

One of the main keys to success is having dedicated PPC landing pages. You generally do not want to direct PPC traffic to your homepage. You want to create a page that compels people to fill out a form (or in some cases, to buy your product). For example, you might ask people to “Book a demo” and provide a lot of social proof as to why you are the best, such as ratings from third parties and testimonials.

### 2. Acquire leads through Facebook and LinkedIn ads

Facebook and LinkedIn offer incredibly detailed demographic and firmographic targeting data, so you can serve focused ads to your specific buyer personas. The challenge though is that Facebook and LinkedIn ads don’t reflect intent. You can target the exact people who usually buy your product, but not the people who are looking to buy your product right now.

So leads generated from Facebook and LinkedIn should generally be connected to a lead nurturing program, such as a series of emails you send out via a sales engagement (Outreach, Salesloft) or an email automation system (HubSpot, Pardot).

Intent vs behaviour example

I worked at a B2B SaaS startup called Upchain. We used both Facebook and Google Ads to drive leads. We first started with Google, bidding on keywords relevant to our product with the call to action “book demo.” It was going great, so we decided to roll out Facebook ads, too. We directed them to the same high-converting landing page. But our conversion rate plummeted! Why?

Because our Facebook audience wasn’t ready for a demo. They had no

intent to purchase now, but they were the right people to purchase eventually. So we changed our approach. We switched our CTA on Facebook to a whitepaper all about how to build and scale the manufacturing tech stack (a problem we solved really effectively). Then, we nurtured these leads over time with content-focused email marketing. Eventually, by tailoring our CTA to match the stage of the buyer's journey our audience was in, Facebook became one of our most effective channels—the leads just took longer since we had to wait for them to be ready to buy.

### 3. Event marketing

Event marketing is, essentially, going to events in order to meet your prospects in person. Event marketing usually has a handful of different goals—getting your product in front of prospects, turning meetings with your prospects into closed business, and meeting with existing deals to accelerate sales velocity.

Event marketing continues to be a leading channel for B2B demand gen marketers. A 2018 study by *Demand Gen Report* found that events were the #1 most successful tactic for accelerating mid- and late-funnel leads, and the #3 tactic for engaging early-funnel leads.

On top of the revenue generation objectives, there are significant brand awareness benefits that come from events. There are few other ways to get your brand in front of as many of your ideal client profile than at a trade show or conference—for the simple reason they're all in the same place at the same time.

Go to market teams should use events wisely though. For example, sponsoring an event usually requires a significant minimum bid, so “dipping a toe” and testing isn’t an option. What’s more, events fall under the lightning strike model of marketing—spending a lot of cash, all in one place to make a big impact. That means from a marketing perspective, events can be a risky mood. That’s especially true if you’re new to event marketing.

But don’t let this deter you. If your industry has a single, powerful event that you can hitch onto, then it might be a good place to launch your new product or solution.

Alternatively, events can form part of your channel mix, to build awareness at the top of the funnel, take meetings in in the middle, and accelerate deals to close at the bottom.

| How to get the most from events |
| --- |

## Step 1: Choose your events carefully

Events represent a huge investment for a company, so you need to pick which events you attend carefully. This should essentially be an exercise similar to target customer work we discussed earlier:

- Get an audience breakdown from every major event you're considering.
- See what percentage of attendees are likely to fit your target audience.
- Use these to calculate a rough estimate of how many potential, high-quality leads there are at the event.
- Apply your historic or projected conversion rates to calculate a projected ROI.

Here's an example of this work, assuming a 20% MQL-SAL conversion rate and a 30% close rate:

| Total # attendees | % attendees who fit your ICP | # potential leads | # MQLs you can expect | # closed deals you can expect |
|---|---|---|---|---|
| 5,000 | 15 | 750 | 150 | 75 |

If you do this for every event, you'll get a sense of how much return you can expect for your investment. Looking at potential MQLs also gives you a good barometer to compare each event to other non-event marketing channels.

## Step 2: Define a goal for each event

Just like any other channel, events can be used to achieve different objectives: brand awareness, new opportunity creation, or existing pipeline acceleration.

You need to define a goal for every event so you understand how to measure success, as well as what lever you need to pull depending on where your go to market strategy is lagging.

Brand awareness vs events ROI

I used to work at a software startup. When I joined, events were a big part of their marketing mix, representing the lion's share of marketing spend. However, when I dug into where opportunities and deals were coming from, it was never from events. It looked to me like we were spending big money on events, and not seeing a return on that spend. But every time I tried to challenge the story that events are good, I was met with resistance. Turns out, it was with good reason. Because every time we went to an event, even if the event itself didn't pay for itself, the impact on our brand awareness was huge. We'd get people coming up to us and say "you guys are everywhere!" By spending big at events, we were able to create the illusion of size and drive significant brand awareness among our ICP. The result was that we were constantly being brought into deals against our competitors who had raised hundreds of millions of dollars with outbound sales teams of 50-100 reps.

### 4. Content marketing and SEO

Content marketing is all about creating content (videos, webinars, blog posts, white papers, ebooks, etc.) that your target audience finds helpful or interesting. The goal is to provide value so you can:

- Create the space to talk about your product or service.
- Provide value and build brand equity in your target audience, so that when they are looking, they know who to go to.

More tactically, content marketing does two things.

First, it creates content that people are willing to use their contact information (usually an email address) to gain access to. Once you have that contact information, you can market to them to see if they need your product or service. The white paper used earlier in our demand generation campaign is a good example of this.

Second, by creating online content like blog posts, content marketing boosts your website's position in Google search results. This means that when your target audience goes looking for answers to their problems, your website is more likely to show up in their search results, and they'll be more likely to click on your link. Once they do that, you have the opportunity to convert them into marketing captured leads (MCLs).

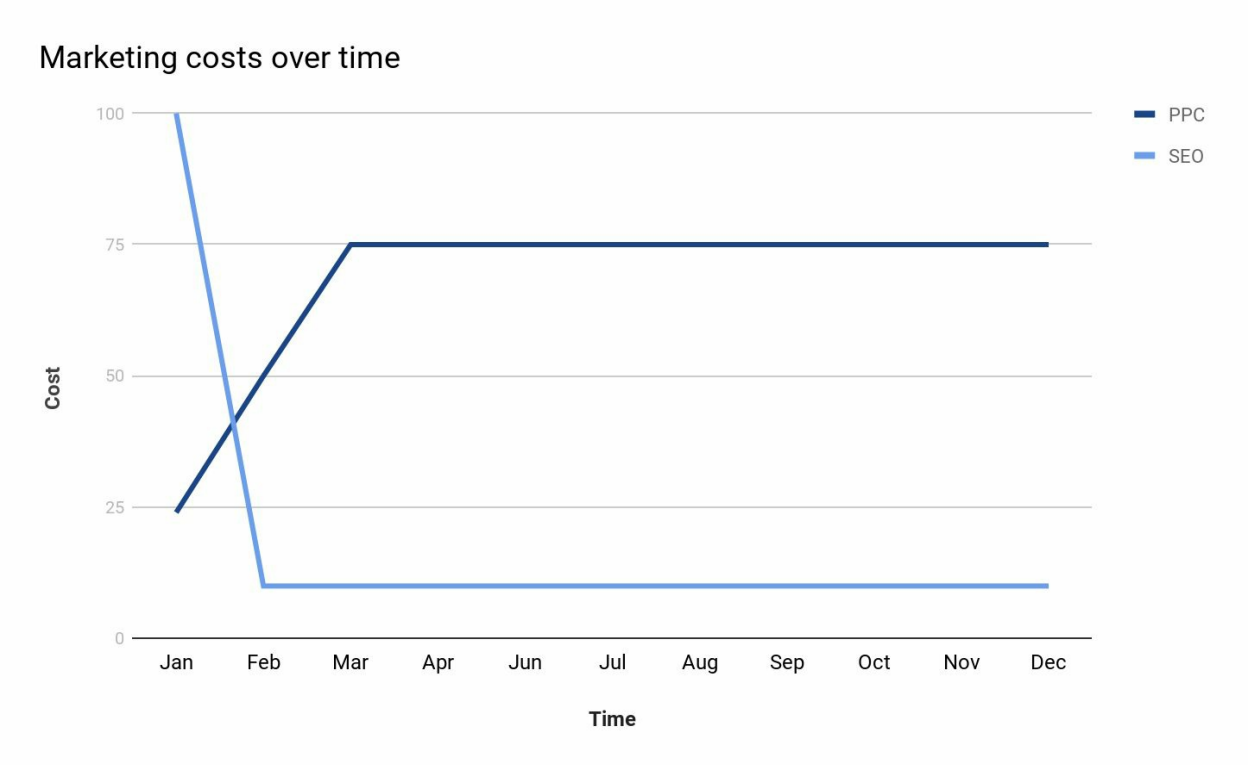
This second task is tied closely to search engine optimization, or SEO. SEO is the art of understanding what people are searching for and creating the content in response to those search queries. It's also the science of getting your content to rank higher than everyone else.

There are dozens of guides to SEO, (Ahrefs, Brian Dean, and Moz SEO all have excellent resources) so we're not going to get too granular here. But

from a go to market perspective, there are a few things to call out.

- **Content marketing / SEO takes a long time**. While other channels like search engine or social media marketing can be quickly turned on and off, content takes a long time to generate and SEO takes a long time to work.

- **Content marketing / SEO has lower acquisition costs in the long run**. Not only do leads from organic search tend to convert at a higher rate, but they also cost less. Paid acquisition is a linear cost model—you need to spend more to get more, up to a certain point where spending more doesn't get you more. For content and SEO though, the initial cost of generating a piece of content can pay dividends for months or years. And because virtually the entire cost is up front, for every new lead that's acquired, your customer acquisition costs drops for that channel. Over time, this makes content marketing and SEO one of the most cost effective marketing channels today. Figure X.X shows what this looks like in practice.




## Keep your content customer-centric

It can be tempting to create content from your perspective, rather than from the perspective of your customers. For instance, it's fairly easy to break your content up into sections based on key product features. But this isn't usually how customers think. They don't spend every day obsessing over your product and its capabilities. Instead, they are spending their time worrying about things like how to grow their business, speed up their process, or stop customers from leaving.

So it is a good idea to organize your content from the top-down, beginning with customer pain points and aspirations. Once you have covered those, you can introduce information about product features that show that you can address each pain point and aspiration.

For example, a title on your page might say: "Reduce inventory carrying

costs.” Beneath this, you can talk about product features that help customers reduce inventory carrying costs, such as: “With our proprietary forecasting algorithm, you’ll cut waste production by 33%.”

On your website, it can be very helpful to have specific sections for each major customer group. This forces you write content in a customer-centric way rather than listing product details in an egocentric way.

# Content examples

## Webinars

Webinars—especially ones that provide educational content—are one of the most effective ways to acquire customers. They're a great way for you to offer educational value to prospective customers, and they're a good medium for providing technical information about your product or service. Because of that, they can effectively pull those prospects still in the consideration phase out of the woodwork, and they can help you to accelerate deals already in motion.

You can promote your webinar using your email database of leads. Don't be afraid to be aggressive here: you can send out multiple emails to get as many people to register as possible, and you should also be sure to send multiple reminder emails to ensure that people who register actually attend the event. Once the webinar is over, send out the recording and encourage people to call or email to get more information.

There are a few things you can do to keep your audience engaged:

1. Put polls or questions into the content.
2. Try and build a rapport and get as much back and forth as possible.
3. Add in a survey at the end to gather market intelligence to hone your marketing.
4. Keep it short: 30 minutes is best, but 45 is you really need more time.

## Case studies

According to research in *Harvard Business Review*, the case study is the

single most read piece of content that companies produce. Humans are social animals. We are natural conformists who rely on social proof to validate our own behaviour. And this makes case studies extraordinarily powerful pieces of content marketing. They show that someone similar to your prospective customer has achieved success using your product or service.

Case studies are particularly effective if you can quantify results. Quantitative data helps your prospects to understand the source of value, and it gives them a very tangible, specific aspiration.

Case studies are also effective because they can be used to tell a compelling story about your product or service. According to the copywriter Bob Bly, case studies should be written like journalistic articles—instead of producing a dry analysis, tell an exciting story about how one customer achieved all that they ever dreamed of because of your product.

To make the most out of your case studies, try to get as much content as possible:

- Bring a videographer with you to interview the client in person and make a video case study
- Edit down the best bits to a 90-second video
- Get the best snippets for 10-15 second social media video ads
- Turn the interview into a customer story page on your website
- Build a downloadable PDF case study that’s longer and more detailed
- Run a webinar where you interview the client on what’s been successful

**Viral content**

A lot of marketers scoff at the idea of creating viral content as part of a go to

market strategy. They don’t take viral planning seriously. We do.

We take it seriously because the research on different customer journeys suggests word-of-mouth is the single most important factor. People hear about products from other people, so one way or another, a good marketer will need to find a way to drive word-of-mouth.

The second reason we take virality seriously is because one of the top business schools in the world does. There is some serious research on viral marketing that’s happened at Wharton, the Ivy League business school at the University of Pennsylvania. Our foundation for viral marketing comes from Wharton Professor Jonah Berger, author of the book *Contagious*.

Here’s the framework for creating viral content, called the *STEPPS* framework. Each letter represents a factor in virality. I’ll walk you through each of these:

- ***S*ocial currency**. People like to share things that make them look good to others. For example, you might share a company’s video if it makes you look intelligent.
- ***T*riggers**. People share things when they are triggered to do so with reminders. For example, Irish products are likely to get shared on St Patrick’s Day.
- ***E*motion**. People share things that are emotionally arousing. Content that makes us angry or uplifted are likely to energize us to take action and share it.
- ***P*ublic**. When something is public, it is far more likely to spread than something that is private. For example, an Apple laptop with a visible logo is more likely to spread than a laptop with no logo on it.

- ***P*ractical value**. Things that provide practical, useful information are likely to get shared. For example, a tip sheet on buying a new home will likely get shared with a friend who is looking to buy a new home.
- ***S*tories**. People tend to think more in terms of narratives than in terms of facts. Embedding a brand message in a story with a beginning, middle, and end is more likely to be remembered and shared than a list of benefits.

### 5. Email marketing

Despite persistent claims that “email is dead,” it continues to be an incredibly effective demand generation tactic for both B2B and B2C channels. It’s cost effective and fast to deploy, and it can play a strong supporting role for other demand gen tactics like content marketing.

The basic idea of email marketing is to send out emails to your target audience, automatically and over a long period of time (called a “drip campaign”) to keep your brand top of mind, educate them on the problem you solve, and try and get them to convert to a lead or a customer with compelling offers or calls to action.

There are 4 common drip campaigns that apply to both B2B and B2C companies. Which campaign style you choose will depend on the resources, sophistication, and tech stack that you have access to. That said, remember: there’s no silver bullet in marketing—and this goes for email marketing as well. If you have the capacity, try multiple strategies and compare results at the end.

## Email newsletter drip campaign

This is by far the easiest campaign to build and deploy. An email newsletter usually consists of a few content pieces that you've produced, some industry-relevant news, and perhaps some news about your business. If you're a B2C company, the newsletter is usually an opportunity to show what new products or updates you have, and a chance to offer some kind of discount. Email newsletters usually go out to the entire user base, and you can streamline this process by using a tool like Mailchimp.

## Audience-based drip campaign

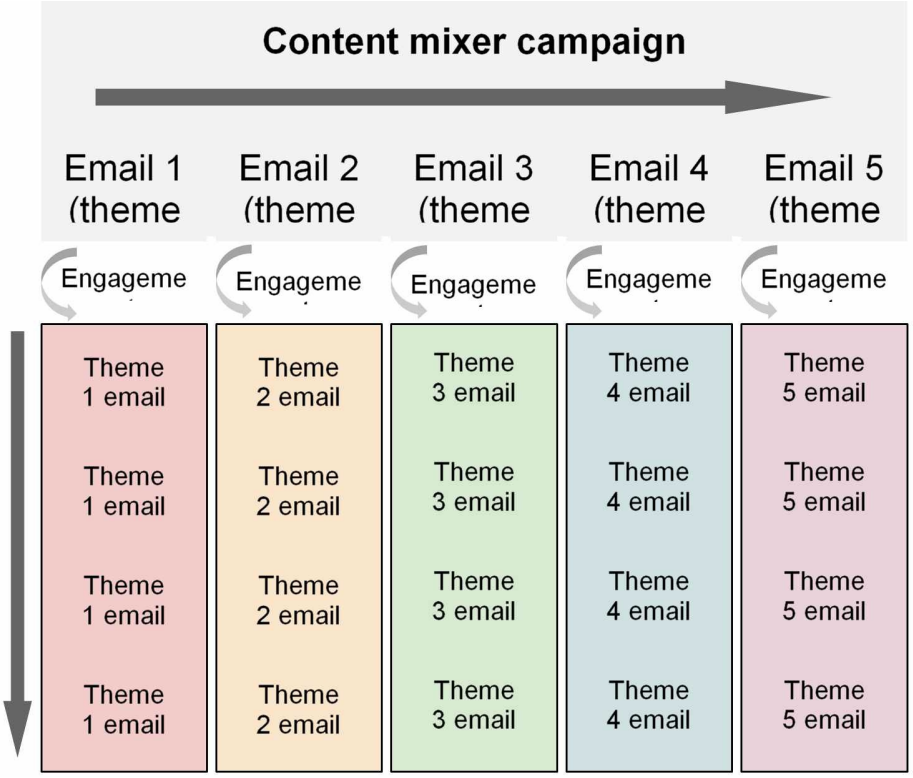
Audience-based drip campaigns are email campaigns that segment your target audience by who they are. For example, say you're a B2B business who sells a complex product with lots of buyers involved in the process. You might separate out your buying committee into different personas, then serve them different content based on who they are and what your value proposition means to them. From a B2C perspective, this would be similar to segmenting based on demographic information, for example an e-commerce clothing company serving women's clothes to women and men's clothes to men.

Since audience specifics are usually fairly fixed, this can be executed with simple software like Mailchimp.

# Content-based drip campaign

Content-based drip campaigns are designed so that you have multiple drip campaigns, each one focusing on content from a different product, value, or theme. Users are added to a top-level “content mixer” campaign, which has content from every sub-drip. When a user responds to one of the master mixer emails, they’re redirected so they then get served more content like the content they engaged with.

**Content mixer campaign**




Content-based drips are more complicated than audience and newsletters, for the simple reason that who gets what email—and what you’re basing that on—changes over time. But they tend to have better engagement, because you’re basing each new email on what worked effectively before. Since

content-based drips are complex to execute, you’ll usually need to use tools like HubSpot, Pardot, Marketo, or Eloqua.

## Intent-based drip campaigns

The last type of drip campaign is intent-based drip campaigns. Here, each new email that you send to a specific prospect is based on their previous engagement with your business. This engagement might be a website visit, previous email opens or clicks, clicking on an ad, or reading / watching / consuming / downloading your content.

In the B2C world, intent-based campaigns work well if you can retarget users based on the products they were looking at and didn't purchase. In the B2B world, intent-based campaigns can form a crucial part of your lead qualification process by serving content that is relevant to the particular point that the prospect is at in their decision process. Operationally, this is usually done with lead scoring. Users with a low score might be served content focused on educating them about the problem you solve. Those with higher scores might get emails that focus on quantifying the value of your solution (e.g. with an ROI calculator).

Don't let perfect be the enemy of good

Marketers often get analysis paralysis when they try to figure out how best to maximize their email efforts. I always chuckle when I hear people talk about the perfect time to send an email. The common wisdom is that Tuesday morning is somehow the optimal time to send out business emails. But I have also seen research suggesting that click-through rates are particularly high on weekends, even though open rates tend to be lower.

People have an odd fixation with the science of email timing—and they buy into the myth that there's a perfect time to get their email out the door. But—controversial opinion—I don't think it's all that important when you send

your emails. The timing of your email send should be trumped by the *actual value that your emails provide*. Deciding whether to mention pain point A or B in your email is far more important than whether you send it at 11 a.m. Pacific or 11 a.m. Eastern time.

Marketers also spend a lot of time worrying about perfecting the graphics in an email. But I've seen research from HubSpot that suggests that plain text emails actually perform better than graphic emails—even though they take a tiny fraction of the time to produce. I've also seen basic emails produced in Outreach perform well, even though they don't have graphics at all. Customers often view basic emails as though they were coming from a friend. Whereas overly slick emails can have an aura of salesmanship that turns customers off. The bottom line: obsessing over design often isn't worth the effort.

It is very unlikely that your marketing is going to be so efficient that the extra dollars you gain from optimizing your email send time or your graphics will be worth the time it takes to do that. You're much better off spending time making your value proposition stronger or tightening your audience segmentation. So—don't let the perfect be the enemy of the good. And don't let the small details trump the big picture of your overall marketing strategy.

### 6. Display ads

Display ads are things like banner ads, YouTube pre-roll ads, and text ads that appear on websites other than your own. Depending on which ad network you choose, these can be priced per click (e.g. PPC), per 1,000 impressions, or CPM.

Generally, display ads are only effective as a brand awareness tactic. That's because their click through rate is far lower than channels like Facebook or LinkedIn. But they're often very inexpensive to run, and they allow you to retarget users from your website or email campaigns. For your target audience, this can create the impression that your brand is everywhere—as if you launched a big, expensive brand awareness campaign, when in reality you are spending pennies per impression.

**7. Direct mail**

That's right, old-school, physical, direct mail. Your direct mail could take a few forms: postcards printed from Postcardmania; handwritten notes produced and mailed by services like Sendoso for a personal touch; packages that include items like chocolates or merch.

Used well, direct mail can generate immediate results. For example, you can use direct mail to get a prospect's attention (maybe by offering a free product or trial) and then quickly secure a meeting through a follow-up email. Direct mail is also effective if your target audience is united by geography. For instance, if you're attending a conference in Texas, you might send direct mail promotions to the people in your CRM who live in Texas.

One example of this comes from when I worked at a large UK-based bank and insurance provider. I worked on the marketing team for pet insurance, and direct mail was a big part of our marketing mix. The reason we relied on this is that we were able to identify specific postcodes around the UK that over-indexed for pet owners (that is, if you knocked on 100 doors in that postcode, there was a greater chance of the resident being a pet owner than if you knocked on 100 random doors across the country). This made our direct mail cost effective, and thus gave us a good return on investment.

**8. All the others...**

There are, of course, lots of other tactics that you can add to your arsenal. These include out of home, traditional media, organic social media, influencer marketing, and more. And if you can layer these into your demand mix and they make financial sense, that’s great. But for most go to market plans, the 7 tactics listed above will get you most of the way there.

## Brand vs demand marketing

Brand marketing is often presented as the opposite of demand marketing. In brand marketing, the story goes, measurement doesn't matter—it's all about storytelling and ethereal brand building. In reality, though, brand marketing is a channel like any other. It has metrics and targets. It's just not as easy to link the marketing dollars you spend to the revenue dollars you make.

Brand marketing is primarily focused on making as many positive impressions as possible in order to increase your *brand equity*—that is, the value your brand brings to your organization. A positive brand equity can be extremely powerful. For example, Apple's brand equity is a big part of why they can charge thousands of dollars for an iPhone. Positive brand equity can also act as a form of insurance. If your brand is tarnished in any way, your positive brand equity can help stave off a drop in revenue.

Brand marketing is also focused on brand awareness. Generally, *brand awareness* is a measure of whether people know your brand. But there are different ways to define and measure it.

The strongest approach is what's called *unaided brand awareness*. This means people can name your brand without any sort of prompts. For example, you might ask a consumer, "What luxury hybrid cars can you name?" They might say Lexus, Lincoln, and Cadillac. That's good news for you if you're marketing for Lincoln because you've just proven that at least someone has unaided awareness of your brand.

Another popular approach is *aided awareness*. This is where you, as the market researcher, provide a list of brands or prompts. For example, in a survey you might ask "Which of the following brands have you heard of?" If

they check off your brand, then you've demonstrated that they have heard of your brand. This isn't as reliable as unaided awareness, but it's easier to measure and put into surveys.

If you're working on big brands, you'll likely get your brand awareness data from a third party such as Nielsen. Nielsen is one of the leading market research companies, and they provide software to track these sorts of KPIs. They regularly conduct research with customers to collect this data.

If you're working for a small company, you probably won't have access to this sort of data easily. You may need to send surveys out to random people within your target customer group to help you get a rough estimation of your brand awareness. One of the advantages of doing your own surveys is that you get highly relevant data. Rather than getting data from the general public, you'll be collecting data within your highly relevant target group of people. You can then measure your brand awareness over time to gauge progress.

There are other, more roundabout ways of estimating brand awareness, such as looking at search data for your brand on Google's keyword planner.

Here you can see that Mountain Dew has an average search volume between 100K and 1 million.

| Brand | Yuppies | Deal-seekers | Practical buyers |
|---|---|---|---|
| A | 30% | 11% | 5% |
| B | 2% | 11% | 12% |
| C | 3% | 3% | 8% |

| | | | |
|---|---|---|---|
| D | 1% | 19% | 3% |

Often what we're interested in is brand awareness by each of the brands in the market (including ours and our competitors') and also by each of the major customer groups in the market.

Here you can see that one of our customer segments, called Yuppies, is very much aware of brand A but pretty oblivious to the other brands. If we own brand A, then we can see a clear advantage here. Brand B is well-known in the two other segments. As a marketing strategist, this information is very useful. Brand A could benefit by advertising more to Deal-seekers. Brand D might benefit by boosting awareness among Deal-seekers as well.

Brand awareness and brand marketing, as a rule, involve big, expensive campaigns, and are usually better suited to mature products further along the product lifecycle.

**When brands do and do not matter**

I saw an interesting question on Quora recently: a user was wondering if brands become more important the more the product looks like a commodity. It's an interesting question, and we can use it as a jumping off point to demonstrate when and where brands play a significant role in marketing—and, maybe more importantly, when they really don't. This is crucial to dig into because I've seen too many companies invest heavily in branding that doesn't really yield any results. This section will help you to determine whether branding should be a priority in your go to market strategy.

First, let's look at a couple of commodities. Take gravel for instance. Here, branding doesn't really matter. Businesses will buy gravel regardless of what

brand name is slapped on it. Now think about ketchup. Ketchup is a commodity too, but here branding actually matters quite a bit. So, we have two commodities where the role of branding is very different.

Now let's consider something that's not a commodity. Take a Rolls Royce, for example. Here, branding is extremely important for driving purchases.

Okay, so what's happening here? In order to understand, we need to break this down. The best place to start is with the 7 marketing tactics that create value in the market. These are:

1. Products
2. Brands
3. Services
4. Prices
5. Communications
6. Incentives
7. Distribution

With commodities like gravel, the product itself doesn't really create value. That's because it is indistinguishable from the competitors' products. So—if the product isn't creating the value, does that mean the brand needs to?

In some cases that is true, but not always. Think back to our gravel example above, where we determined that branding doesn't really matter for selling this basic commodity.

So, to really unpack how brands create value, we need to go a level deeper. Essentially, there are three ways that brands can create value:

1. They create *functional value*, such as communicating the quality of the product.

2. They create *psychological value*, such as portraying your identity through clothing labels.
3. Lastly, they create *monetary value*, such as communicating the price positioning.

With business-to-business commodities such as gravel, the psychological value of the brand doesn't really matter. Nor does the functional or monetary value. If you have a product where brand doesn't create any of these values, pouring time and resources into branding isn't going to be valuable.

But with business-to-consumer commodities such as ketchup or corn flakes, the brand actually *does* create psychological value. When the person eats corn flakes, the brand itself has an impact on the eating experience. You may actually enjoy the product more because it was branded in a certain way.

The bottom line: brands matter more in contexts where they can create functional, psychological, and monetary value.

How to build great ad creative

There's no single formula for building great ad creative, but there are three major approaches that you can consider.

When I worked on TV ads, the approach I used—and the one I recommend—was developed by the acclaimed Leo Burnett advertising agency. It's called "The Big Idea." You focus on a single benefit, and then highlight attributes that support that benefit. In other words, you communicate one benefit, but you provide prospective customers with multiple reasons to believe in that benefit.

The inverse of this is talking about multiple benefits and a single attribute that creates those benefits. For example, automation might lead to lower

labor costs, faster processing, and reduced wait times.

A third approach is storytelling. This one is gaining a lot of traction in the business world today. Humans generally think in terms of narratives, so we can easily recall ads that fit a natural story. With this approach, you typically want to present your product or your offer as the hero of the story.

Many companies will already have a formulate for how to do ads. But advances marketers need to know the right time to use the right approach. To learn more about these approaches (and when they're most useful), I'd suggest reading *Advertising Strategy* by Brian Sternthal and Derek Rucker. But here is a quick and dirty guide:

- **Approach 1**, where you focus on a single benefit, is a good approach when you have a single benefit with lots of attributes to support it. For example, Volvo is safe because it has airbags, a collision warning system, and a blind spot information system.
- **Approach 2**, where you focus on multiple benefits, is best where you have a very specific, unique attribute that offers your prospective customers a whole host of benefits. Our automation example applies again here: automation increases speed and accuracy, which in turn saves your customers' time, money and other resources
- **Approach 3**, storytelling, works best when it's important to *demonstrate* the benefit(s). For example, it might work best when it's difficult to convey the value of the product without showing a case study. Storytelling also works well if the product has some kind of emotional or psychological value.

Of course, there are other creative strategies that can work in certain situations. For example, if your product has a very strong point of difference, you could simply communicate that buying the product will yield a particular benefit. This aggressive approach can work if the product is unique.

Or, if your product is complicated, analogies can be much better at communicating value than any other creative approach, because they allow you to relate something your prospects don’t understand to something with which they’re already familiar or comfortable.

## Chapter summary questions

- Have you clarified the demand generation process, including definitions and responsibilities, with the go to market team?
- Have you identified your target demand tactics and developed, hired, or outsourced capabilities in each?
- Have you identified key tactics for every stage of the demand generation funnel?
- Is branding going to be a key part of your marketing strategy?

# PART 6:
# THE MARKETING MIX
## *How to measure channel effectiveness*

Marketing is changing. Historically, we've lived in a supply-driven world. That means that supply was low and demand was high, so companies had a lot of power. They focused on the supply chain, since the primary concern was getting enough units built and shipped to meet demand. This is essentially the story of mid-century America.

In contrast, we now live in a demand-driven world. Consumers hold most of the power, and they can demand that suppliers cater to their specific needs. This is what The Cambridge Group refers to as the "demand chain" as opposed to the "supply chain." In this new demand-driven world, options have exploded; needs are specific, rather than generic; and the expectation is that those specific needs are met in a specific and targeted way. On top of these changes, customers do a ton of research on their own, particularly early in the buying stage. This means that B2B marketers need to adapt and meet customers where they are in the buying cycle. The same is true in B2C, where customers turn to reviews to assess products.

Because of these changes, go to market teams can no longer afford to rely exclusively on one channel or another. Rather, in an increasingly competitive world, the only way to efficiently go to market is to do so across multiple marketing channels at once, and to rely on the aggregate impact being greater than the sum of its parts.

So, achieving the right marketing mix is a crucial factor in any go to market process. In this chapter, we're going to do a deep dive into the marketing mix, looking at:

- How to calculate your marketing mix
- A guide to planning out your marketing mix in Excel
- An example of an integrated marketing campaign

Marketers often play favorites, advocating one marketing tactic over another. But you can't let your bias get in the way of the growth goals of your business.

Here's an example. I am partial to pay-per-click keyword ads and landing pages. I particularly like Unbounce because it allows me to quickly create landing pages and test key features such as the header text and the hero image (that is, the main image on a web page, landing page, or ad). I also love using Google's keyword planner. I was certified in Adwords and I value the timely, quantitative data.

But in many cases, this type of quantitative, experimental digital marketing isn't the most appropriate approach. In professional services marketing, for example, public speaking is arguable the most effective tactic. So, marketers need a degree of humility and flexibility with tacts to achieve growth goals. If I was working in professional services marketing and constantly pushing pay-per-click keyword ads over public speaking, I wouldn't be doing my job. But I also wouldn't be doing my job if I *only* focused on public speaking—creating an effective marketing mix is generally even more important than identifying the most effective stand-alone approach.

Luckily, there's a process that allows you to remove bias from your tactical decision-making. It's called media-mix modeling. It uses statistical

regressions to identify the ideal mix of different media such as TV, PPC, SEO, etc. Here’s how it’s done.

# Calculating the media mix

You can do media-mix modeling yourself using Excel, Stata, SPSS, or another statistical program. But calculating the optimal media mix can get pretty complicated. Let's start with a simple example.

| F | G | H | I | J | K |
|---|---|---|---|---|---|
| | sales | tv | print | ppc | seo |
| year 1 | 20 | 5 | 2 | 1 | 0.5 |
| year 2 | 25 | 6 | 3 | 2 | 1 |
| year 3 | 15 | 2 | 1 | 0.5 | 0.2 |

This table shows a record of sales across three years. It also shows how much was spent on each medium in each year. In year 1, five million was spent on TV, 2 million was spent on print, 1 million was spent on pay-per-click advertising (PPC), and half a million was spent on search-engine optimization (SEO).

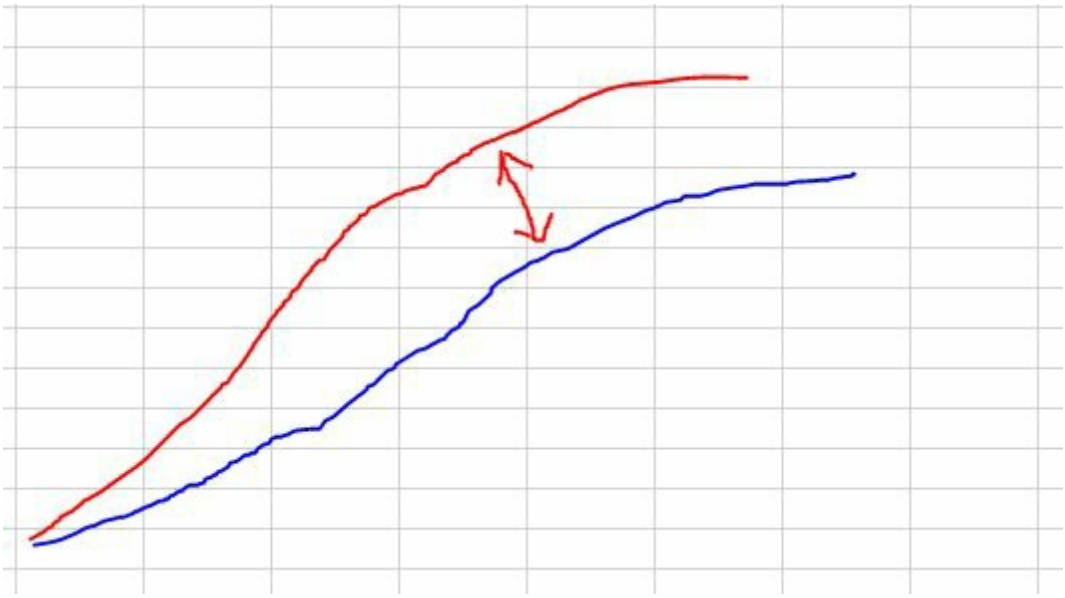
Here's how you'd do your media-mix marketing with this data:

1. Click the data tab in Excel and go to Data Analysis on the far right. If this option isn't available, you need to add the Excel add-in for data analysis.
2. Select Regression from the drop-down and click OK.
3. For the y-range, select the sales column. For the x-range, select the columns for TV, print, etc. Then press OK.

| | Coefficients | Standard Error | t Stat | P-value | Lower 95% | Upper 95% | ower 95.0% | pper 95.0% |
|---|---|---|---|---|---|---|---|---|
| Intercept | 11 | 0 | 65535 | #NUM! | 11 | 11 | 11 | 11 |
| tv | 1 | 0 | 65535 | #NUM! | 1 | 1 | 1 | 1 |
| print | 0 | 0 | 65535 | #NUM! | 0 | 0 | 0 | 0 |
| ppc | 4 | 0 | 65535 | #NUM! | 4 | 4 | 4 | 4 |
| seo | 0 | 0 | 65535 | #NUM! | 0 | 0 | 0 | 0 |

This is what your output looks like. Note that PPC has a coefficient of 4 and TV has a coefficient of 1. This tells you that PPC and TV are the best predictor of sales. So if you want to increase sales, you should concentrate your budget here.

This was a very basic analysis. As a marketer, you'd generally rely on your analytics partners to help you develop more sophisticated models.



In this graph, I am showing sales on the vertical axis and time on the right axis. In more advanced models, what you would do is establish a base case. My base case here is the blue line. The blue line shows the prediction of sales if I spent nothing on media (this would account for existing momentum and seasonality). The red line indicates the predicted sales by spending on media. So you see, what we're really interested in from a management perspective is the space indicated by the red arrows. This is the real impact of media.

**Two issues you may run into**

When you are analyzing this kind of data, there are two common problems that you might run into.

The first is that not all of your data will be quantitative. For example, male and female are not metrics. In cases like these, first consider whether those factors are even all that important. Often marketers overemphasize demographic data when in fact, motivational or attitudinal data is more important. Second, consider treating the data with dummy variables. For example, 0 could mean male and 1 could mean female.

The second issue you might run into is comparing data with different scales. For example, you might have miles, pounds, dollars, inches, etc. The key to addressing these differences is to standardize the data before you start running statistical analyses. That could look something like this:

| Original data | Standardized data |
|---|---|
| 1km | 3.57 |
| 2km | 0.71 |
| Average = 1.5 | |
| Standard deviation = 0.7 | |

This is a simple way to standardize the data. In this example, we have two data points: 1km and 2km. For each data point, subtract the mean for the dataset and then divide by the standard deviation of the dataset. Now we have two standardized data points, and we can compare these new standardized data to other datasets that might have pounds, dollars, inches, etc.

## Building your marketing mix

At this point in the go to market process, you know your audience, your value proposition, and you have a good idea of your marketing demand channels. You know whether or not brand is going to be part of your mix, and you've done a ton of work on audience definition, value creation, and messaging. Now, it's time to lay it all out in a marketing mix. Your **marketing mix** is the specific distribution of spend across channels, assets, and time. Basically, what money is going where, and when.

Triggers vs the funnel

Old-school marketers think of the customer-decisions journey as a linear path, beginning with awareness and ending in purchase. This is the classic funnel, and it's served go to market teams for years.

But recently, McKinsey developed a more sophisticated framework that suggests that the buying journey isn't linear. Rather, it's actually based on triggers. ***Triggers*** are key moments that instigate the buying process.

For example, a company might start researching new software when they reach a certain size and their status quo starts to break down. Or someone might start researching for contract software when they're looking for a new apartment or going through a divorce. These triggers are incredibly important because they are inflection points: they're moments when you can inject your product into the discussion and become highly relevant.

With that in mind, you should remember triggers when you're considering your marketing mix. Your mix should aim to:

1. Accelerate when those triggers surface for your target customers

2. Educate prospects about those triggers
3. Create content that solves the pain those triggers have surfaced
4. Develop processes and drip campaigns that quickly take prospects from vaguely interested to ready to buy.

**How to build a marketing calendar**

Building a campaign requires you to work across multiple marketing channels at once (rather than relying on a single marketing tactic to do everything). And in order to do that, you need to develop a way to stay organized, and to keep all of your departments on the same page.

I've worked on many complex marketing campaigns, including global product launches with multi-million dollar budgets, and I can tell you that when you deal with a lot of different moving parts, you need an iron-clad organizational strategy. Otherwise, the whole thing goes off the rails, fast.

Here's how I recommend organizing your marketing mix:

1. Start with a spreadsheet such as Google Sheets or Microsoft Excel. Google Sheets is generally better, because you can collaborate and share it in real-time. That way, everyone in your company is on the same page—literally.
2. Make the vertical axis of your spreadsheet the types of marketing assets. So, the first column should consist of asset categories: for example, cell 2 might be "videos," cell 3 might be "print," and cell 4 might be "banners."
3. Make the horizontal axis time, so your second column might be "week 1," the third column "week 2," and so on. It is helpful to also bundle

these into months.

| Asset Categories | Week 1 | Week 2 |
|---|---|---|
| videos | | |
| print | | |
| banners | | |

Once you have this framework in place, you can start entering the various marketing items you will use. Here, it's helpful to use colour coding:

- Blue might mean "finished"
- Green might mean "released" (note: it's important to distinguish between when an item is expected to be finished and when it is actually released to the market)
- Reserve red for red-flag issues such as delays

From here, there are other layers of complexity that you might add. For example, the first tab might relate to Product 1 whereas another tab might relate to Product 2. The first half of your sheet might be for one region while the bottom half relates to another. The bottom line is that you can tweak this general template to the specific needs of your company.

Then, the only thing left to do is to actually populate your marketing calendar with your channels and assets!

## Integrated vs discrete marketing

The most efficient way to acquire customers is through integrated campaigns not discrete channel activities. Analytical thinkers like to break things into parts and measure the performance of each of those parts. If Facebook is generating low acquisition costs and LinkedIn isn't, then you would naturally want to pump more money into Facebook. But this approach is overly simplistic.

You have tons of touchpoints with a customer at various stages in the customer buying cycle. They usually don't decide to buy from you because of one Google ad or because of one social media post. And in situations where that is actually the case, your customer acquisition cost was probably too high. That's because certain channels are more efficient at generating awareness (like banner ads with a very low cost-per-impression).

Other campaigns are good at generating responses to start the conversation. These are things like Google ads and landing pages. But if you're expecting your Google ads to generate awareness, consideration, and purchase, then you're probably being very inefficient. In isolation, your data might be telling you that Google ads have the lowest customer-acquisition cost, but looking at the bigger picture, you need to think in a more integrated way.

By integrating campaigns and stricturing each channel and asset to only do what it's good at, you can maximize your marketing spend and your marketing impact, without increasing your budget.

Lightning strike marketing

Agile approaches to management are very much in vogue right now, and

agile marketing is no exception. The idea is that you test and learn, pivoting as needed based on (1) the data you acquire through testing, and (2) how the market reacts to your marketing.

The marketing mix that we just outlined reflects this, building channels and testing over time. But there are times when you just need to go big or go home. In the entertainment industry, for example, it often makes more sense to condense your marketing into a very short timeframe. That means burning most of your marketing budget right around the time you launch your product.

The challenge with entertainment products is that your competition is enormous. Say, for example, that you're marketing a movie. Your competition isn't just other movies. It's not even just other entertainment products like video games or books. It's all the many substitutes that the market offers your prospective customers, like spending time with family at the pool, or going on a hike, or taking a cooking class. So, in order to get noticed, you need to put all your resources into a concentrated attack. Entertainment marketing is like launching a rocket ship. You don't fly a few feet in the air each day; instead, you put all your energy into one giant launch so that you generate enough speed to break through the resistance of the atmosphere. With entertainment marketing, you're trying to break through the noise and clutter in order to capture people's interest and get them into the theater (or onto your subscription service).

The safe approach of dipping your toes into the water here and there, optimizing each step of the way, just doesn't generate enough power. With entertainment products such as movies and video games, the lion's share of revenue is generated in the short time just after the product is released to the market. The launch is so critical to success because the revenue curve

quickly trails off afterwards.

So, what does this mean for marketers whose products don’t fall into the entertainment category? In most cases, you’ll be going to market for the long term—and in that case, you’re probably aiming for returns over a long, sustained period of time. But, you may still choose to do a lightning strike marketing strategy if you want to jumpstart your product launch.

## An integrated campaign example

Let me walk you through an example of a truly integrated campaign designed to acquire new customers. I'll use a business-to-business example, but the principles can be applied to B2C as well.

**Your first step will likely be to buy a list of target companies.** This is an important step that many marketers miss: they start running ads, but they haven't actually defined the universe of customers they want to acquire. You can (and should) narrow down exactly which customers you want to acquire by working with a list broker or a database provider. If you're looking for a general list provider, you can go with a company like InfoUSA; if you're looking for a niche database provider, look to a company like Etail Insights. There are also companies, like Leadium, that will compile lists from scratch.

You can test different list providers to figure out which one yields the highest quality. To test your lists, send the exact same email to two lists using a program such as Marketo. Whichever list produces more qualified leads is the winner.

**Once you've acquired a list of target customers, your next step is to run and test lead gen ads**. Run lead generation ads precisely to the group of people on your list and no one else. Can you see how efficient this is? Instead of broadcasting to the world, your broadcasting narrowly to a predefined set of target customers.

Facebook and LinkedIn are two of the most powerful platforms to do this. They offer lead-generation ads that you can use to promote offers such as ebooks, free consultations, or free demos. You might be thinking: why would I *pay* to get someone to download a free ebook? Once again, the answer to

this question ties to the point about having an integrated campaign. In isolation, paying someone to download an ebook would be dumb. But in the context of an integrated campaign, it starts to make a lot of sense. The ad might only generate an ebook download, but the follow-up channels might land the actual sale. For example, you might send ten emails to everyone who downloaded the ebook. The seventh email might prompt people to buy from you, or at least speak to a sales person. Folding in direct mail can be valuable here as well.

So, at this point, you're hitting your prospects with ads and perhaps direct mail. You can also hit them with educational emails that nurture the leads. Typically these are educational emails that provide value to prospects. You can send these automatically through Marketo, InfusionSoft, AWebber, Hubspot, MailChimp, or one of the automation offerings from Salesforce. These are your general marketing emails. You can also use a program like Outreach to solicit prospects with messages from your outbound sales team. These tend to have a more personal, 1-on-1 tilt to them.

While all of this is happening, you could also be running general brand awareness banners on Facebook, LinkedIn, and Google. Re-targeting website visitors with banner ads can also be effective.

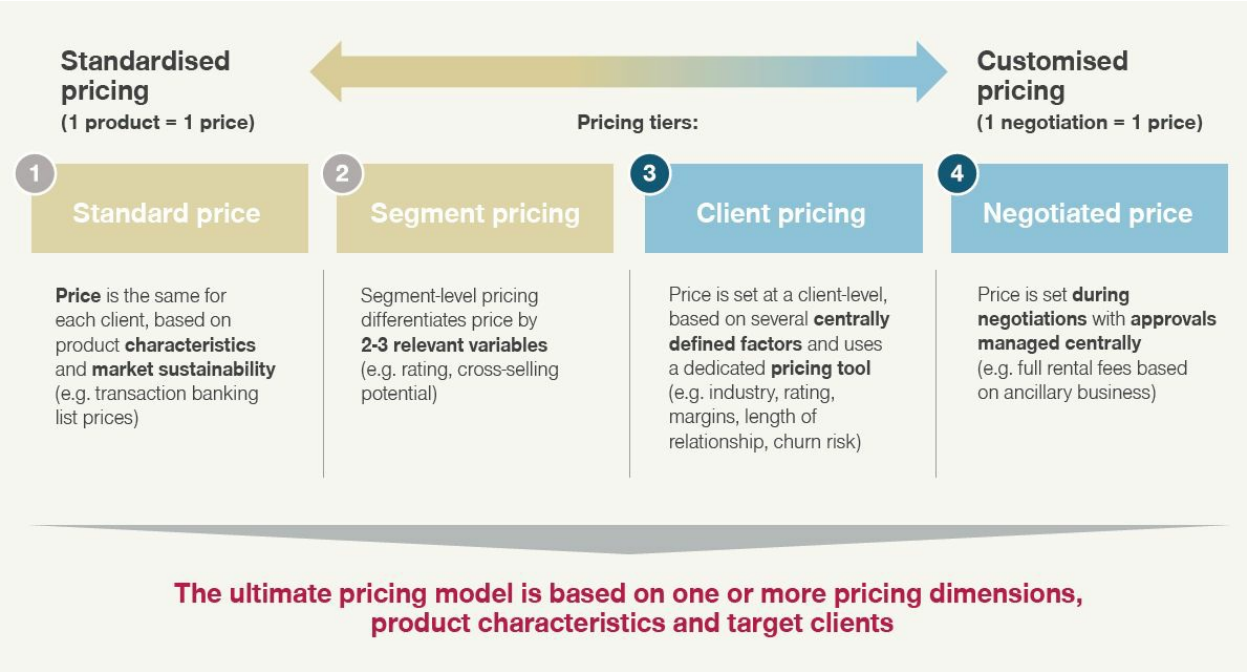
The idea here is that you're not relying on a single channel to generate results. You're hitting the same list of prospects with multiple channels either simultaneously or sequentially. This is an efficient system for acquiring new customers.

## Chapter summary questions

- Have you planned out your marketing calendar?
- Have you secured executive buy-in for a mixed-channel approach to marketing?
- Are you pursuing a lightning strike approach to your product launch?
- Do you know what your audience triggers are, and do you know how to use different channels to deliver the right message at the right time?

# PART 7:
# HOW MUCH? PRICING YOUR PRODUCT

Pricing is one of the most challenging elements of the go to market strategy. It's a balance between charging enough to meet revenue expectations and cover costs, while being low enough that customers get a positive return on investment for the value you're promising. In this section we're going to cover some of the common pricing strategies, gotchas, and a few tips to maximize your revenue with pricing.




Reference: Simon Kucher & Partners

This pricing model is designed specifically for software. But most products can find themselves along the axis somewhere.

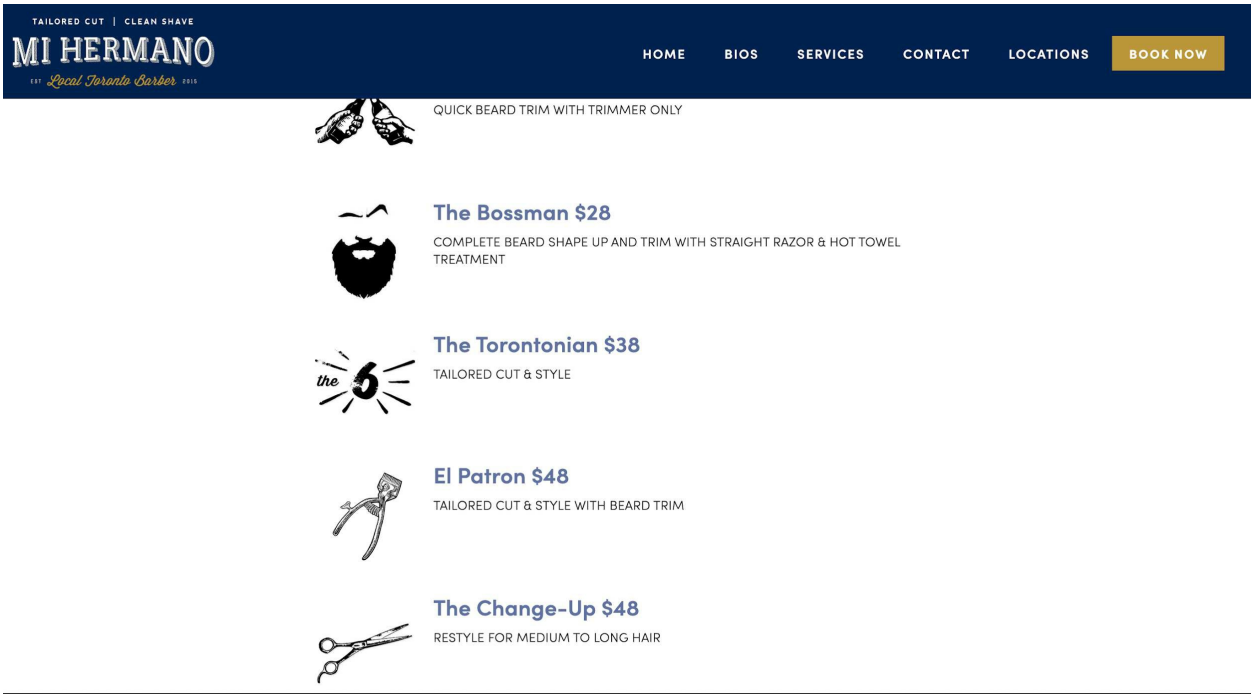
The basic idea behind this diagram is that pricing should have multiple

dimensions. These dimensions—which are essentially the variables that impact the price—are usually:

1. Product dimensions
2. Usage dimensions
3. Volume dimensions
4. Client / contract dimensions

It's worth noting that often, very simple products will only have one dimension. For example, when I go and buy a bag of kumquats, I pay a set price. It doesn't matter if I buy 100 bags (volume dimension), or if I'm planning on making a kumquat stew versus a kumquat salad, or how often I shop at the store.

Beyond this, the first dimension to be added is almost always product. For example, here's my barber's pricing page:

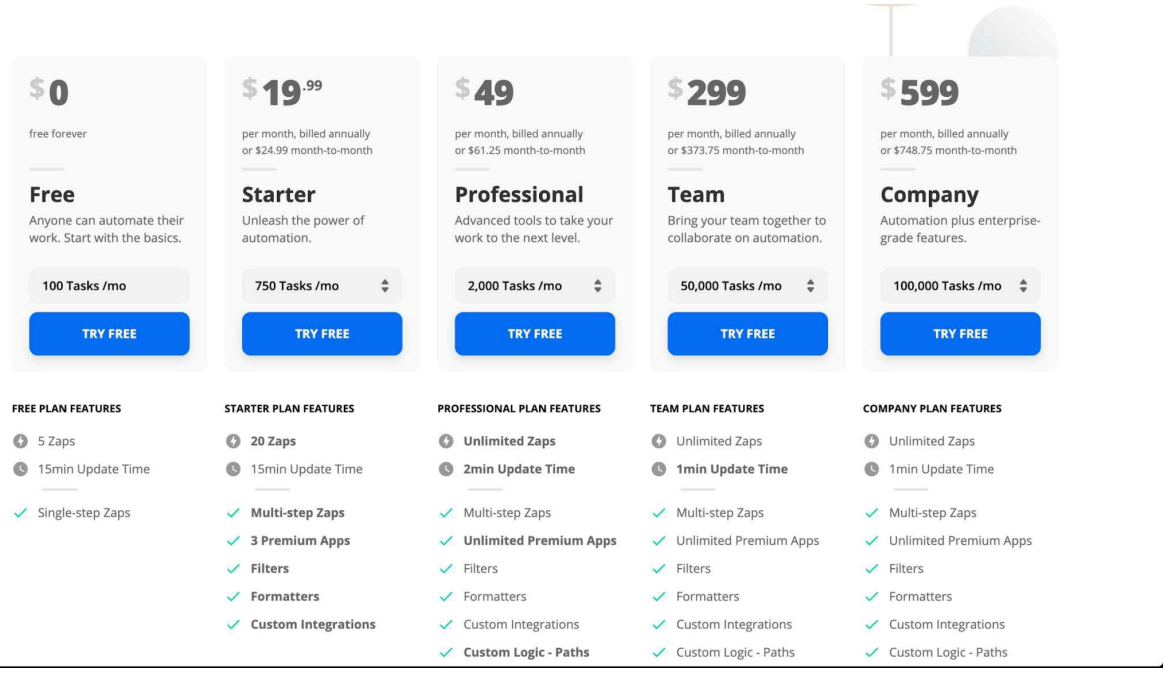



Their pricing list shows that as you spend more, you get more services (e.g. if

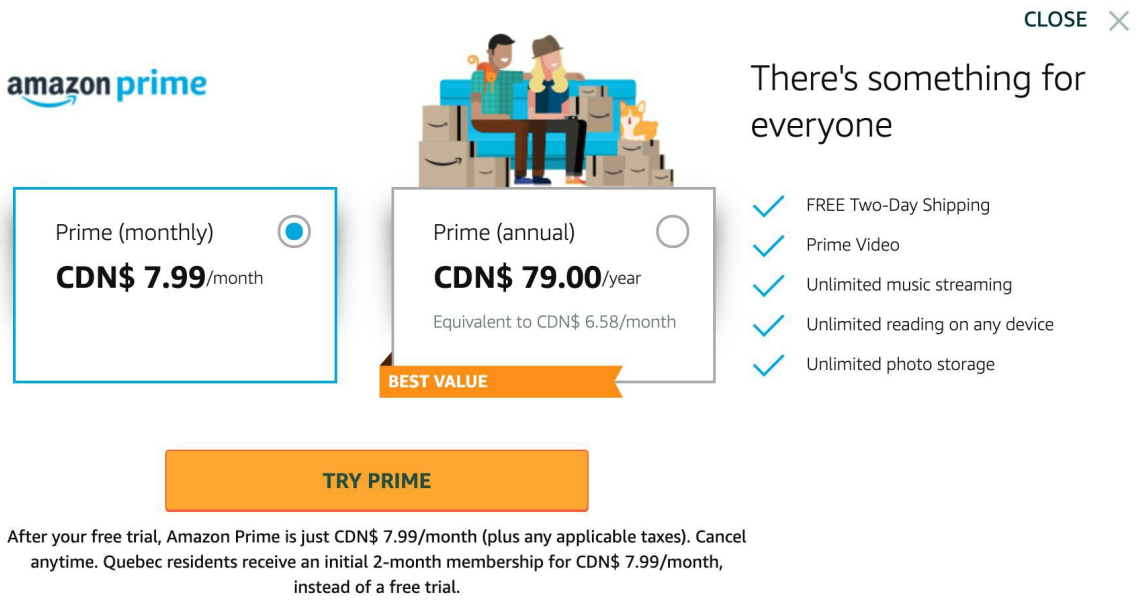
you pay $10 more, you get a beard trim).

**As products get more complex, however, more dimensions enter the equation.** For simple B2C and some SMB-focused B2B software, for example, the usual dimensions are product features, with usage and contract length (monthly or annually) layered on top.

Zapier, for example, uses usage as a primary lever for pricing**.** Their lowest tier is free, but you only get 5 zaps and 100 tasks per month. As you work up the tiers, they start to introduce more variables and the number of zaps and tasks increases. To be clear, the quality stays the same—it's only the *volume of product you get* that changes.



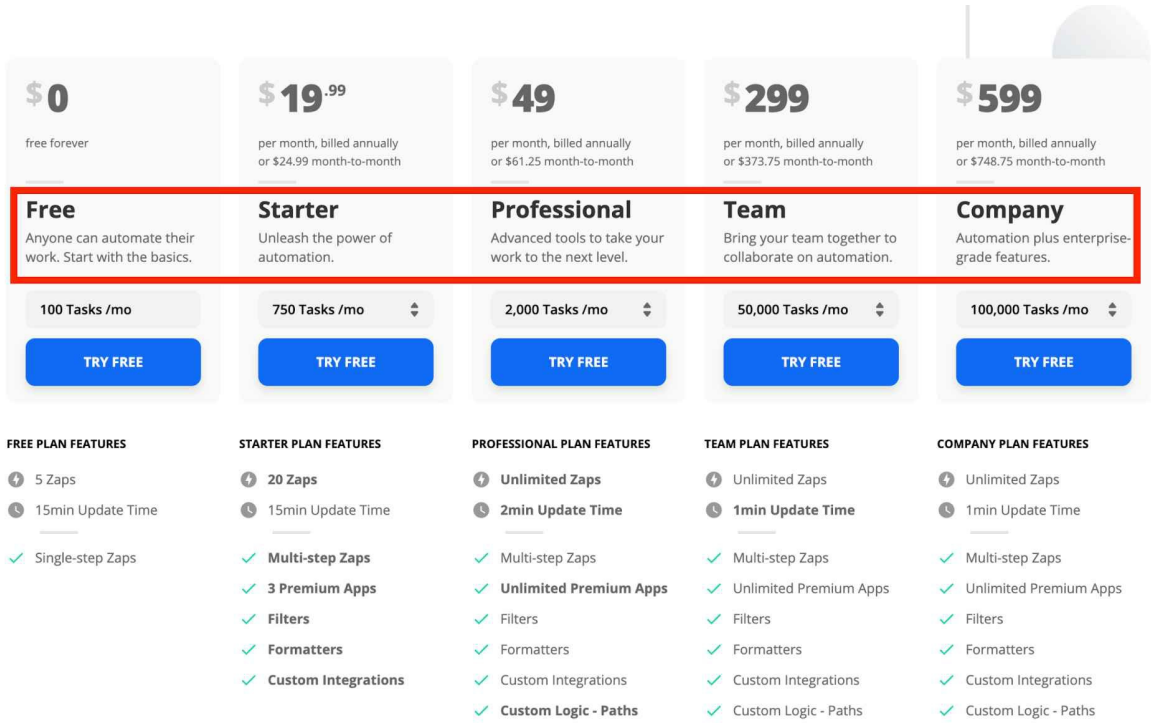

Amazon prime, in contrast, is priced solely based on contract length:




Their price goes down by 17% if you sign an annual contract.

**As products get more complicated, you begin to see variables grouped into meaningful buckets.** The ideal pricing structure has at least one of each of these dimensions, with the limits set to target a specific use case.

If we take another look at Zapier's pricing page, they've done a great job of labelling their pricing plans to appeal to different segments of their audience. If I'm a company looking for an API connection tool, I know exactly where to go. Likewise, if I'm a one-person operation and I just want my email to connect to a Google sheet, I know just where to go as well.




If executed correctly, tiered pricing strategies like this should:

- Provide value to the user equal to the price they're paying.
- Push users to upgrade to a higher tier as they begin to extract more value from the product.
- Allow you to sell the same underlying product at different price points based on the value that your customer is going to get (e.g. with Zapier, a company automating 100,000 tasks a month is getting a lot more value than a freelancer automating 750 tasks a month).
- Reward longer contracts (since an annual up-front contract is effectively a loan) with better pricing, while also reducing churn (since customers have already paid for a year they'll be stickier).

**On top of these variables, of course, is the role pricing plays in negotiations.** Discounting, multi-year deals, favourable payment terms, and more are all levers that salespeople can pull to close a deal. However, the core underlying structure of multi-dimensional pricing remains in tact—and

is (in our opinion) the best way to deliver maximum value to a range of customers at a range of prices.

## Your price needs to align with your goal

Let’s say you want to generate $1,000,000 MRR and you’re currently at $200,000 with 2,000 customers. Let’s also say that your target customer group has a population of 4,000. Even if every single customer in the market was a customer of yours, you’d only be at $400,000 MRR. That may mean you need to raise your prices.

## Align your price with the value you create, not the cost of the value you create

You’re price should not be a function of cost. It should be a function of the value you create.

Let’s say it takes you one day to build a software program that saves a company millions of dollars. Would you only charge that company for a day’s worth of work? No, because the value you created was much more than the cost.

So while it’s important to fold cost into the pricing discussion to make sure you’re making enough money, it shouldn’t be a major factor on the final sale (other than to set a basement value).

Example

**Monthly value**

- Fuel savings: $1,000
- Lubricant savings: $100
- Savings from not needing to hire a contractor as frequently: $200
- Incremental profit generated: $200
- **Total value: $1,500**

---

- Value created by next-best alternative: $1,000
- Incremental value: $500

**Monthly price**

- Price of next-best alternative $750

- 50% of the incremental value (assuming the value is split between you and the customer) $250
- **Price to customer: $1,000**

In the above example, our product creates $1,500 total value a month. The next-best alternative creates $1,000 a month. So we're adding $500 of incremental value. To get our price, all we need to do is take whatever the competitor is charging ($750) and add half the incremental value. We're now charging $1,000, which is more than the competitor, but the customer is still walking away with more value ($500 vs $250).

## Pricing tactics

For actionable advice based on solid academic research, I recommend Googling “Nick Kolenda” for his list of pricing tactics. The nuances of your product may not align perfectly with this research, but it can serve as a starting point, potentially for A/B testing your pricing pages. Here are our favourite pricing tactics that we’ve used effectively.

### 1. K.I.S.S

Your pricing should be dead-easy to understand. Pricing is an extremely vulnerable point for the customer. They have to decide if the value you're promising is worth the price. The only way to make that decision is to understand exactly what you charge. Keep it simple, stupid.

**2. Anchor your price to something more expensive**

Pretend that you've created a software product that replaces an employee whose job it is to print labels onto boxes. There are two vastly different

pricing approaches you could use here:

1. Charge a price similar to other SaaS products that your target purchases ($120/month)
2. Charge half the price of the employee's wage ($1,500/month)

This second approach not only aligns your price with value—you also do it in such a way that you can easily justify your price to prospective customers. You just saved them $1,500 per month!

### 3. Don't underestimate the power of pricing

One of the most fundamental concepts in economics is that demand increases as you lower your prices. I've witnessed first hand just how massive an effect pricing changes can have on your sales performance. Your pricing web page may be one of the most frequently visited pages on your site, so testing and optimizing your pricing and packaging is well worth the effort.

### 4. Price discriminate

In general, people should pay for what they use (or more precisely, for the value they receive). That's why it's important to charge people differently based on their needs. Traditionally, tech companies charged by the number of users. While this makes sense in some contexts, it's often misaligned with the value created.

For example, a small business might need three people accessing your software, but that doesn't mean they're willing to pay three times as much. But that business might be willing to pay three times as much if they started generating three times as much in revenue. If your software enables the business to triple its revenue, then it actually makes sense for your price to increase alongside this revenue jump (or some other metric like orders

delivered).

Packaging your services into bundles is another way to price discriminate. The key here is to make sure customers actually fall into each of the bundles. For example, you might have 3 packages: Small Business, Growth, and Enterprise. But it’s possible that enterprise-level customers are actually buying your small plan. That means that you’ve segmented your pricing incorrectly, because you assumed larger companies would want the bigger plan. It could very well be that larger companies value your large plan LESS because they already have a solution for 75% of the features offered.

**5. Look for quick wins**

Pricing is — and should be — a long and thoughtful process involving lots of different stakeholders.

However, that doesn’t mean there aren’t quick wins that you can exploit.

For example, In one company I worked at, I changed the price of every product by a few cents so that everything ended in 99 cents. This created over $100,000 in incremental revenue.

Another time, I tweaked the price online and created record-breaking marketing performance.

The key in both cases is that the pricing framework was principally agreed to with multiple stakeholders, leaving me free to tailor the exact packaging and pricing in an agile way with rapid A/B testing. Ultimately, this led to a far better result than simply setting and forgetting.

## Chapter summary questions

- What pricing model are you following? What levers are you pulling to change the price customers pay?
- Are you charging based on value, not on cost of service?
- Is your pricing entirely comprehensible in 7 seconds or less?
- Have you linked your pricing to an higher-value product?
- Have you constructed a system to test different pricing and packaging quickly and effectively to iterate on the best solution?
- Have you agreed the framework for your pricing and packaging?
- Do you have the buy-in, trust, and authority to run quick A/B tests to find and capture additional revenue?

# BONUS SECTION!
# COMMON PROBLEMS (AND THEIR SOLUTIONS)

In this final section, we're going to cover the most common go to market problems that we see, along with actionable, practical advice on how to overcome them.

## You are not winning over new prospects

In B2B product marketing, if qualified leads (opportunities) are not being won by the sales team, you should try to dig deeper into why that's happening. To do this, you want to generate a report in Salesforce or a similar system. Look at the opportunities that are "closed-lost" and look at the reason codes. The reasons could be something like:

- Lost to competitor
- Timing
- Price is too high
- Not decision maker
- Missing features

Let's say that in the last 6 months, the results were something like below:

| Reason | # of lost opportunities |
|---|---|
| Lost to competitor | 13 |
| Timing | 3 |
| Price is too high | 10 |
| Not decision maker | 2 |
| Missing features | 3 |

As you can see, the #1 reason you are losing opportunities is because of your competition. You'll want to look deeper into this. Look at each opportunity in Salesforce to identify which competitors show up the most:

---

| Competitor | # of lost opportunities |
|---|---|
| A Corp | 9 |
| B Corp | 1 |
| C Corp | 3 |

As this table shows, A Corp is one of the leading reasons that you are not getting new sales. What you might find is that they offer a much lower price than you do.

# A sudden drop in website performance

One month, I experienced a precipitous drop in performance of leads coming in from a website. That month I had changed the homepage, but not without first running an A/B test.

### Step 1: Re-run the A/B test

The first thing I did was re-run the A/B test. Yet again, my new homepage design performed better with a significantly higher conversion rate.

### Step 2: Isolate the problem on the website

Looking more closely at where the conversion drop was most substantial, I noticed that the pricing page was the biggest contributor. This in and of itself was not proof that the pricing page was the problem. That's because people tend to convert on websites based on the ENTIRE website experience, not just the experience of one particular page. So while the pricing page tends to generate a lot of conversions, all the other pages that the visitor sees contribute to the pricing-page conversions.

### Step 3: Isolate the problem at a broader level

Looking at the data for the past few months, I identified that pricing was the primary reason we were not closing prospects, particularly with respect to larger prospects.

### Step 4: Talk to the internal team

I spoke to a business development rep (BDR) who told me that he was having a hard time selling our holistic software because the prospects already had software that did much of what we offered.

### Step 5: Look at external data

I looked at external data and found that about ¾ of larger prospects (our new target) already had software to do much of what we offered.

### Conclusion

The problem was that we had changed our pricing page, in hopes of aligning better with our target customer which was much larger than our previous target. Ironically, larger customers were actually quite price sensitive because they didn’t value the holistic nature of our software as much since, at that size, they already purchased software to fix many problems. We simplified our pricing structure and updated the pricing page to improve performance.

## Leads are up but pipeline is down OR leads are down but pipeline is up

A common psychological mistake humans make is associating recency with causation. This leads to problems with demand generation, because metrics move on different time scales. For example, your leads may be up for the month but your pipeline may actually be down. That’s because the pipeline for this month could be generated from last month’s leads. Similarly, leads could be down this month but pipeline may be up, because lead generation last month was strong.

It’s important to measure results on the appropriate timescale. If you’ve made a bunch of changes to your landing pages this month, then the appropriate gauge of success is improvements to your leads (form submissions like these might be defined by “marketing engaged leads” in your company). The impact on pipeline may not happen until the following month.

## Lots of leads but sales aren’t going up

This is a very common problem. Marketers can have a very low standard for what constitutes a lead, whereas salespeople have a very high standard for what constitutes a lead. So what happens is all those top-of-funnel leads leak out in the middle.

For example, someone who watched a thought leadership webinar is not the kind of lead an account executive wants to talk to. The top and bottom of the sales funnel are easy. The real challenge is the middle of the funnel (i.e. MOFU). This is where you take the top-of-funnel leads, nurture them with educational content, and warm them up so that they’re willing to have a conversation with a sales person, see a demo, or engage in some other high-bar offer.

A common way to do this is to provide a series of emails that educates the prospect on a specific pain point. This might include a video case study of someone similar who overcame the problem. It could also include an email on best practices for overcoming that pain point. Eventually, you have to sell the hard offer—which is the demo or consultation.

In some cases, there is an SDR (sales development representative)—also known as a BDR (business development representative)—who sits in the middle between Marketing and Sales. The SDR might push the prospect to schedule a demo, or the marketer might. Increasingly though, SDRs are reporting into marketing, becoming another channel for marketers to play in.

Another problem might be even further down the funnel. When you’re going to market, there are guaranteed to be some sales growing pains. As a go to market leader, your job is to make sure that sales has the capability to close

the deals that marketing is delivering, which enters the world of *sales enablement.*

*Sales enablement* is the process of building, delivering, and maintaining the content, processes, systems, and tools that sales teams need close business. Generally, sales enablement as dedicated role will only happen after 50-75 sales reps are hired. If you're going to market for the first time, then sales enablement will likely be owned by marketing (product marketing in particular).

There are dozens of things you can do to try and improve your conversion rates, but for a first effort, content is your best bet. Specifically, you should produce internal content to help sellers have better, more relevant conversations. This kind of content might include:

**1. Battlecards**

Battlecards are a short document to help the account executives (sales reps) land sales. The purpose is to prepare the sales reps to respond when customers ask about competitors.

This can be a daunting task, because the number of competitors could be endless and there could be very nuanced differences in features among the competitors. The mistake most marketers make is that they attempt to define their competitors based on whether they offer similar products. The first problem with this is that the competitive set can become too large. The second problem is that prospects will start naming competitors you've never heard of, or ones you never thought were worthy to be considered competitors.

The main takeaway is that customers don't define competitors the same way

your internal product team does. Instead, you should focus on who your “bullseye” target customer is, and then let this definition narrow down the competitive set. You should also look at what competitors you're running into and losing deals to based on your CRM data.

Once you’ve identified who the key competitors are, analyze them based on your value propositions. For example, if the main benefit of your product is that it speeds up assembly lines, then analyze your competitors based on that benefit. Perhaps they are lacking certain key features that make their assembly lines move faster.

Typically marketers create a master table that details each of the competitors and the key features they have (or don’t have). I don’t like this process because it’s not customer-centric. In sales conversations, customers will likely name just one or two key competitors rather than an exhaustive list, so I prefer to just go through each competitor one-by-one and identify their deficiencies in terms of delivering value. That way the sales rep can quickly look at the specific competitor and speak about each issue.

Try to condense the information into a single sheet.

In addition to providing the deficiencies for each competitor, make sure that your battlecard speaks more broadly about where your product stands in the market. For example, you might say something like: “Unlike most competitors, we offer 24 hour support,” or “In general, our products save more in energy costs than most of our competitors.”

**2. Sales wiki**

A sales wiki is just an aggregated (ideally searchable) record for your sales team all about the market, the product, the target customer, and content to

send, and more.

This repository could include PowerPoint slides designed to educate the sales team on the target customer—or other internal-facing materials. It could also include customer-facing materials such as handouts on specific product features, or brochures catering to specific customer groups or buying personas. For example, you might have one handout for CEOs that talks about profit-and-loss and another handout for CTOs that talks about IT infrastructure integration capabilities.

### 3. Crib notes

Sales reps are busy, and are unlikely to read and then action the longer content that marketing produces. So part of the deliverable for sales enablement to help increase close rates and sales velocity is to condense it down into 1-2 sentences per point. If you can deliver it contextually when reps need it, that’s even better, but the goal should be bite-sized content pieces that are hyper-relevant to the rep at a specific time. Crib notes are an easy way to deliver that value.

## Large customers aren’t buying

Often products go to market serving small companies. Then, they “ladder up” to the mid-market, and finally to enterprise.

This is a proven pathway for many SaaS companies because the needs of small companies or freelancers are usually less complex and the sales cycle is shorter. But their lifetime value is usually small, so you would need to acquire a massive number of customers to build scale. It can be a lot easier to scale by serving enterprise clients, once your product is sophisticated enough to meet their needs. It’s worth nothing, though, that these are not mutually exclusive: it’s quite possible to serve both enterprise customers AND small customers simultaneously. When I worked for a Google-backed startup, we catered to micro-companies, small-medium companies, and also to enterprise clients.

You may find it difficult to sell to large companies for a number of reasons:

- **They don’t value your holistic solution**. While small companies may have appreciated the breadth of your product, you may find that large companies already have specialized products to serve most of their needs. They’ve already developed systems and work-arounds to get to the size they’re at today. They’ve also already purchased products similar to yours. Your value proposition may actually narrow the further you move up market. You may need to focus more on one benefit that you deliver strongly on.

- **They don’t realize customization is an option**. Large companies may dismiss your solution because they don’t realize you offer thorough customizations to accommodate their workflows.

- **You're too expensive**. Ironically, large companies may actually be more price-sensitive. This isn't because they don't have money; it's because they simply don't derive as much value from your product as smaller companies do. You may have overestimated how much more large companies are willing to pay.
- **You haven't enabled your account executives**. Often larger companies have buying groups, and these may include multiple stakeholders who need to be sold to. As a marketer, you should develop selling tips that cater to each of those groups. For example, you may have an outline of the profit-loss impacts of your products for CEOs or general managers, and a technical product benefits sheet for engineering leads.

## Event marketing is not producing qualified leads

Events can eat up the majority of the marketing budget for B2B companies. Investing tens of thousands of dollars on a single event is a risky investment, but the possibility of having keen buyers, all grouped in a single place, is too tantalizing for many companies to pass up. However these big-ticket events often don’t lead to the same return on investment as low-cost activities like webinars. So what’s going on here?

- **Your events are not targeted enough**. Big events attract broad audiences who often don’t care much for your product. You want to focus on events where the majority of attendees are your bullseye target customers—not just people who could buy our product, but the specific group that is most likely to buy it.

- **Your event attendees aren’t attending with intent.** Some events attract people to evaluate solutions and buy products. But not that many. For most events, the draw to attendees is the education and sessions, not the opportunity to shop around the vendors. You want to either focus on events with the intent to buy, or change the objectives of events.

- **The majority of attendees are not customers**. Sometimes the majority of attendees at events are not actually end buyers of your product. They may actually be potential partners or collaborators. For example, the attendees may be web developers or professional service providers who cater to your end customers. You went to the event expecting new customers instead of building our your partner marketing.

- **The attendees are not your buyers**. For B2B tech companies in particular, the end user is often not the buyer. If the majority of your attendees are end-user and not buyers, it's going to be difficult to have meaningful conversations. For example, if you sell sales automation software, you end user might be an account executive, but your buyer is the VP sales, VP marketing, or VP operations. A conference where the attendees are sales reps isn't going to generate qualified opportunities.
- **You've set the wrong expectations**. Events have lots of auxiliary benefits beyond lead generation. Specifically, brand awareness—essentially, top of funnel impressions—and deal acceleration. Events are really good at both these things, so as a savvy marketer, you may need to change the objective of your event to match what they're good at.

## PPC ads aren’t producing the same results at scale

When you’re small, you may see great results with PPC ads once you’ve properly optimized your keywords, ads, and landing pages. But at a certain point, you may find that you cannot grow the advertising to get more customers cost-effectively. What’s happening here?

The thing with marketing tactics like Google Ads is that they often work best at the bottom-of-the-funnel. In other words, they cater to people who are already on the verge of buying a product like yours. But the size of the bottom-of-the-funnel is always smaller than the top-of-funnel. So it’s very easy to saturate the bottom-of-the-funnel with keywords like “buy X” or “integration for Y.”

In my experience, PPC advertising is a baseline marketing tactic. You run it continuously to capture the buy-ready prospects, but the real growth will come from other tactics. For example, you may need to a buy list of 20,000 prospects and start hitting them with Facebook ads promoting your white paper. You then migrate those prospects into an email sequence in Outreach that nurtures the leads to the point where they are pushed to the bottom-of-the-funnel. PPC ads often just hit the low-hanging fruit.

## Going to market without product / market fit

This problem is most common if you work for an early stage startup. What happens is that you try to go to market before you truly have product / market fit.

That is, you haven't positioned yourself in a market where you have a proven track record of customers who love your product, that's large enough to achieve your revenue goals, and where you can articulate your unique value over competitive alternatives.

Usually, this step is rushed because a few early deals have closed, and that drives assumed product / market fit, when in reality, those deals are closed because of existing connections and founder selling, rather than true evidence of a market in search of your solution.

Companies rush into tactical execution and demand gen without having a strong foundation and end up spending ineffectively while they figure it out on the fly.

Here are a few signs you might not have clear product / market fit:

- Every deal requires the founder / CEO / executive to be in on, regardless of deal size
- Long deal cycles for SMB / mid-market deals
- High customer churn rate
- Extremely diverse customer / user base (it's difficult to identify unifying factors)
- Low Net Promoter Score (NPS)
- Ideal Client Profile (ICP) is only loosely defined

The only fix here is to go back, reassess your market options, and find another niche that you can crack into with better success.

## Nobody is responding to my ads or emails

Usually the problem here is that you are trying to promote your product, company, or brand instead of the offer itself. What I mean by the offer is your consultation, white paper, ebook, webinar, demo, and so on. When you run direct-response ads or emails, you need to sell the offer—usually with bullet points detailing the benefits of the offer.

## Nobody is responding to my Facebook or LinkedIn ads

When you're marketing on Facebook and LinkedIn, you're mostly marketing to cold leads who haven't heard of your company. And that means you need to market a little differently. If your ads aren't converting, it's probably because:

- You're trying to sell your company instead of your offer. If they've never heard of you, then you need to make sure they're getting value right away, since there's no incentive for them to click on an ad about a company they've never heard of. Content that has a low commitment for them like ebooks and whitepapers (guides) does this really well.
- You're ask is too high. Asking someone to attend an hour-long webinar is a much higher ask then getting them to download an ebook. Try lowering what you want them to do.
- You're asking for too much information. Response rates should improve if all you ask for is an email, as opposed to name, email, company, revenue, etc.
- There's too much friction in the user experience. Response rates should also improve if you use the lead-gen forms built into the social platform, instead of sending people to your own landing page (especially for mobile traffic).

## We’re losing too many deals to the competition

First let’s define how many is too many. A good rule of thumb is that you should win between 35% and 45% of the opportunities you create. And of the 55% - 65% of deals that you lose, only about a third should be lost to competitors. That means if you create 100 opportunities, you’ll win 35 of them, you’ll lose 65 of them, and of that, you’ll lose about 20 to a competitor.

The rest you’ll lose to other reasons (no decision, for example).

So your aggregate competitor loss rate should be no more than 20% of all the opportunities you create. At most.

If you’re near / above this number, then you need to dig into the data, and execute the relevant strategy:

| **Questions to ask** | **Strategic response** |
|---|---|
| Are you losing deals from a specific segment, company size, or industry? | Identify other segments where you’re over-indexing for won deals and shift your focus to there. If you can't, you need to dig into the specific needs of the market, and reposition your product and marketing to serve it more effectively. |
| Are you losing the deals for a specific reason? | Invest in product development, or pivot your product to an audience who doesn’t have that specific requirement. |
| Are you being priced out of the market? | Address your messaging to better convey the value you bring that is unique over the value your |

| | |
|---|---|
| | competitor can bring. |
| Are your competitors' sales processes much easier? | Streamline and simplify how you sell to make it easier for the buyer. |
| Is your customer experience worse? | Talk to your happy and unhappy customers. What makes one happy / unhappy? Take those happy customers and replicate that success, and tell that story during the sales cycle. |

# CONCLUSION

Taking a product to market isn't easy. Richard T. James, the celebrated inventor of the Slinky, ended up living out his days in Bolivia while his extraordinarily talented wife ran the company as CEO.

And yet, products are launched every day. Teams are assembled, plans are made, audiences identified and ads are bought. At the heart of this process is a fundamental belief that whatever new product you're launching or new feature you're selling is going to make life easier for your target audience.

Going to market is just the process of convincing people that your new way is better than the status quo.

Whether it's because they get to spend less time at work thanks to your solution that makes them 10x more efficient, or it's just a better light bulb, it doesn't matter. As you go to market, your mission is to make your audience believe in what you're saying, and to convince them to change from doing nothing to doing something.

And to do that, you need to go through the seven steps to get to market:

1. Identify your target audience
2. Outline the value you bring them
3. Figure out how to tell that story
4. Build your go to market team
5. Define the demand and brand marketing channels that best reach your target audience
6. Calculate your marketing mix

7. Settle on a product price

Once you've gone through these steps, and can cross off each one, then congratulations! You're ready to go to market. You're ready to catapult your product into the waiting hands of your future customers.

You'll move your audience to action—from doing nothing to doing something. You'll move your audience from not knowing, to not caring, to not buying, to—finally—not even being able to comprehend living without your product.

Once you make their life better, and you'll know that you've gotten your product to market.

# Notes

[ ← 1]

We'll cover  uncalculate-able value in the next section.